

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 4129

By: Fetgatter

7
8 COMMITTEE SUBSTITUTE

9 An Act relating to public finance; enacting the
10 Office of Management and Enterprise Services
11 Efficiency Act of 2026; designating the Chief
12 Operating Officer the supervisor and director of the
13 Office of Management and Enterprise Services;
14 organizing the Office of Management and Enterprise
15 Services into five units; organizing the Office of
16 Management and Enterprise Services into component
17 units for Administration, Capital Assets Management,
18 Central Purchasing, Human Capital Management, and
19 Risk Assessment and Compliance; assigning duties
20 related to information technology to the State Chief
21 Information Officer; transferring duties related to
22 reporting and analyzing of state revenues, assistance
23 to the State Board of Equalization, and assistance
24 related to the preparation of the annual Executive
 Budget to the Oklahoma Tax Commission - Office of the
 State Chief Financial Officer; creating the office of
 the State Chief Operating Officer; providing
 appointment authority to the Governor with the advice
 and consent of the Senate; establishing
 qualifications for the State Chief Operating Officer;
 clarifying authority; providing for removal under
 certain conditions and process; amending 62 O.S.
 2021, Section 34.3, which relates to the duties of
 the Office of Management and Enterprise Services;
 enumerating duties; updating references; amending 62
 O.S. 2021, Sections 34.11, as last amended by Section
 1, Chapter 36, 1st Ex. Session, O.S.L. 2023, and
 34.11.1, as amended by Section 1, Chapter 193, O.S.L.
 2024, (62 O.S. Supp. 2025, Sections 34.11 and

34.11.1), which relate to the Chief Information Officer, changing title to State Chief Information Officer; creating the Office of Strategic Technology Solutions and transferring position and duties from the Information Division of the Office of Management and Enterprise Services to the Office of Strategic Technology; transferring funds, personnel, records, and property from the Information Division of the Office of Management and Enterprise Services to the Office of Strategic Technology; establishing duties of the State Chief Information Officer; eliminating certain authority to contract; amending 62 O.S. 2021, Sections 34.3.1, 34.5, 34.9, 34.11.1.2, 34.22, 34.27, 34.28, 34.34, 34.35, 34.62, 34.63, 34.64, 34.65, 34.66, 34.67, 34.68, 34.69, 34.70, as amended by Section 1, Chapter 167, O.S.L. 2023, 34.71, 34.72, 34.74, 34.75, 34.77, 34.78, 34.80, 34.81, 34.82, 34.83, 34.90, 34.91, 34.92, 34.203, 34.204, (62 O.S. Supp 2025, Section 34.70) and Section 1, Chapter 36, 1st Extraordinary Session, O.S.L. 2023 (62 O.S. Supp. 2025, Section 34.11.1.2), which relate to duties of the Director of the Office of Management and Enterprise Services; transferring certain duties to the State Chief Operating Officer; amending 62 O.S. 2021, Sections 34.2, as amended by Section 1, Chapter 86, O.S.L. 2025, 34.6, as amended by Section 2, Chapter 14, 2nd Extraordinary Session, O.S.L. 2022, 34.7, 34.10, as amended by Section 1, Chapter 39, O.S.L. 2024, 34.11, 34.36, as amended by Section 2, Chapter 193, O.S.L. 2025, 34.36.1, 34.40, 34.41, 34.42, as last amended by Section 3, Chapter 199, O.S.L. 2025, 34.43, 34.44, 34.47, 34.49, 34.50, 34.51, 34.52, 34.53, as amended by Section 1, Chapter 84, O.S.L. 2025, 34.54, 34.55, 34.56, 34.58, 34.87, as amended by Section 1, Chapter 409, O.S.L. 2024, 34.102, (62 O.S. Supp. 2025, Sections 34.2, 34.6, 34.10, 34.36, 34.42, 34.53, and 34.87), which relate to duties of the Director of the Office of Management and Enterprise Services; transferring certain duties to the State Chief Financial Officer; amending 68 O.S. 2021, Section 102, which relates to the duties of the Oklahoma Tax Commission; establishing the Office of the State Chief Financial Officer at the Oklahoma Tax Commission; creating the office of the State Chief Financial Officer; providing appointment authority to the Governor with the advice and consent of the Senate; establishing qualifications for the

1 State Chief Financial Officer; clarifying authority;
2 providing for removal under certain conditions and
3 process; limiting timing of applicability of certain
4 amendments to certain authorities; providing for
5 noncodification; providing for codification;
6 providing an effective date; and declaring an
7 emergency.

8 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

9 SECTION 1. NEW LAW A new section of law not to be
10 codified in the Oklahoma Statutes reads as follows:

11 This act shall be known and may be cited as the "Office of
12 Management and Enterprise Services Efficiency Act of 2026".

13 SECTION 2. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 34.5.1 of Title 62, unless there
15 is created a duplication in numbering, reads as follows:

16 A. The Office of Management and Enterprise Services shall be
17 supervised and directed by the State Chief Operating Officer.

18 B. The State Chief Operating Officer of the Office of
19 Management and Enterprise Services shall organize the Office into
20 functional units as follows:

- 21 1. Administration;
- 22 2. Capital Assets Management;
- 23 3. Central Purchasing;
- 24 4. Human Capital Management; and
5. Risk Assessment and Compliance.

1 SECTION 3. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 34.11.1-A of Title 62, unless
3 there is created a duplication in numbering, reads as follows:

4 The functions of the Office of Management and Enterprise
5 Services related to information technology shall be supervised by
6 the State Chief Information Officer.

7 SECTION 4. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section 34.34.1 of Title 62, unless
9 there is created a duplication in numbering, reads as follows:

10 A. The Oklahoma Tax Commission-Office of the State Chief
11 Financial Officer shall perform the duties and responsibilities
12 previously assigned to the Office of Management and Enterprise
13 Services with reporting and analyzing state revenue information and
14 to assist in the presentation and analysis of state revenue
15 information as part of the duties of the State Board of Equalization
16 with respect to the appropriation of public funds pursuant to
17 Section 23 of Article X of the Oklahoma Constitution.

18 B. Upon request by the Governor, the Oklahoma Tax Commission-
19 Office of the State Chief Financial Officer shall provide such
20 assistance as may be required for the preparation of the annual
21 Executive Budget.

22 C. The Oklahoma Tax Commission shall house the Office of the
23 State Chief Financial Officer and associated staff.

1 SECTION 5. NEW LAW A new section of law to be codified

2 in the Oklahoma Statutes as Section 34.5.2A of Title 62, unless
3 there is created a duplication in numbering, reads as follows:

4 A. The Governor shall appoint, with the advice and consent of
5 the Senate, a State Chief Operating Officer (State COO) of the State
6 of Oklahoma.

7 B. The State COO shall have a four-year degree in public
8 administration, business management or a related field, and not less
9 than eight (8) years' experience, with progressive responsibility
10 and management, in public budget administration, or in a related
11 position involving administrative or operational responsibility, or
12 any equivalent combination of experience and training.

13 C. The State COO shall be selected with special reference to
14 his or her training, experience, capacity and interest in the
15 activities embraced within Title 74 of the Oklahoma Statutes and
16 other applicable provisions of law. The State COO's knowledge,
17 experience, and demonstrated abilities should encompass each of the
18 following:

19 1. A comprehensive knowledge of the principles and practices of
20 public administration and organizational management, and a working
21 knowledge of governmental accounting;

22 2. An extensive knowledge of the organization and operations of
23 state departments, agencies and institutions, and of principles of
24 public organization and administration;

1 3. Demonstrated success in managing the operations of a
2 government entity or large organization, and in the maintenance of
3 effective working relationships with all state officials concerned
4 with state operations; and

5 4. The ability to organize and present clearly oral and written
6 reports of findings and recommendations.

7 D. The Governor may remove the State Chief Operating Officer
8 for good cause shown.

9 E. Any person appointed to the position of State Chief
10 Operating Officer pursuant to the provisions of this section shall
11 have full authority to take any actions authorized or required by
12 law pending the confirmation of the person by the Oklahoma State
13 Senate.

14 F. The Legislature may remove the State Chief Operating Officer
15 upon the vote of two-thirds (2/3) of the members elected to and
16 constituting each chamber. If a measure is used for the removal, it
17 shall be in the form of a concurrent resolution and shall not be
18 presented to the Governor.

19 SECTION 6. AMENDATORY 62 O.S. 2021, Section 34.2, as
20 amended by Section 1, Chapter 86, O.S.L. 2025 (62 O.S. Supp. 2025,
21 Section 34.2), is amended to read as follows:

22 Section 34.2. A. Agencies responsible for the collection of
23 monies deposited to the credit of the General Revenue Fund and each
24 of the Special Revenue Funds shall be subject to the provisions of

1 this act. Upon request of the ~~Director of the Office of Management~~
2 ~~and Enterprise Services~~ State Chief Financial Officer, these
3 agencies shall provide the ~~Director of the Office of Management and~~
4 ~~Enterprise Services~~ State Chief Financial Officer an itemized
5 estimate of funds expected to accrue to the General Revenue Fund and
6 each of the Special Revenue Funds for the ensuing fiscal year in the
7 manner and form established by the ~~Director~~ State Chief Financial
8 Officer, in accordance with the duties assigned to the State Board
9 of Equalization in Section 23 of Article X of the Oklahoma
10 Constitution. Each of these agencies shall also provide to the
11 ~~Director~~ State Chief Financial Officer, as requested, a written
12 explanation of the methodology and relevant assumptions used in
13 developing the current and future revenue estimates submitted, a
14 statement of:

- 15 1. The prior year's actual revenue collections;
- 16 2. A projection of the current year's revenue collections; and
- 17 3. Estimated revenue collections for the ensuing fiscal year.

18 No expenditure shall be made from any General Revenue Fund or
19 Special Revenue Fund until such fund has been assigned to an agency
20 by law or by the ~~Director of the Office of Management and Enterprise~~
21 ~~Services~~ State Chief Financial Officer.

22 B. In addition to providing the information listed above, the
23 Oklahoma Tax Commission shall also provide to the ~~Director of the~~
24 ~~Office of Management and Enterprise Services~~ State Chief Financial

1 Officer a comprehensive economic report no later than two (2) weeks
2 prior to each of the meetings of the State Board of Equalization
3 pursuant to paragraphs 1 and 3 of Section 23 of Article X of the
4 Constitution of the State of Oklahoma. Each report shall include a
5 summary of recent national and state economic performance and a
6 forecast of national and state economic performance for the current
7 fiscal year and the ensuing fiscal year. These reports shall be
8 considered a basis upon which the itemized revenue estimates of the
9 Commission are developed. The report shall include an analysis of
10 the relative accuracy of the economic forecasts on which the
11 previous and current fiscal years' revenue estimates were based.

12 C. The Tax Commission shall also provide all estimates,
13 explanations, statements, projections, reports and other documents
14 required by this section to the President Pro Tempore of the Senate,
15 members of the Senate Appropriations and Finance Committees, the
16 Speaker of the House of Representatives and members of the House
17 Appropriations and Budget Committee at the same time that such
18 documents are provided to the ~~Director of the Office of Management~~
19 ~~and Enterprise Services~~ State Chief Financial Officer.

20 SECTION 7. AMENDATORY 62 O.S. 2021, Section 34.3, is
21 amended to read as follows:

22 Section 34.3. A. There is hereby created in the Executive
23 Department, the Office of Management and Enterprise Services.

24

1 B. The Office of Management and Enterprise Services shall
2 manage the centralized administrative services provided to support
3 the operations of state agencies, including:

4 1. Printing and interagency mail;

5 2. Construction, property, and facilities;

6 3. Real estate and leasing;

7 4. Fleet;

8 5. Surplus property;

9 6. Assistance to and resources for agencies in making purchases
10 and suppliers seeking to do business with the state;

11 7. Employee benefits;

12 8. Human resources and professional development;

13 9. Risk management;

14 10. Compliance with procurement laws and state, federal, and
15 local government regulations; and

16 11. State records.

17 C. The term "state agency" or "agency", when used in the
18 Oklahoma State Finance Act, shall mean any agency, board, bureau,
19 commission, or other entity organized within the executive
20 department of state government.

21 ~~C.~~ D. The term "authorization", when used in the Oklahoma State
22 Finance Act, shall mean the legislative authorization for an agency
23 to expend a certain amount of money from a specified fund or funds
24 during a specified period of time.

SECTION 8. AMENDATORY 62 O.S. 2021, Section 34.3.1, is amended to read as follows:

Section 34.3.1. A. The Department of Central Services, Office of Personnel Management, Oklahoma State Employees Benefits Council and the State and Education Employees Group Insurance Board are consolidated into the Office of Management and Enterprise Services. The ~~Director~~ State Chief Operating Officer of the Office of Management and Enterprise Services shall assume all executive-level responsibilities for each agency and shall function as and possess the powers of the agency ~~director~~ State Chief Operating Officer for each consolidated agency as enumerated by existing statute. For the purposes of this section the term "consolidated agencies" shall mean the Department of Central Services, Office of Personnel Management, Oklahoma State Employees Benefits Council and the State and Education Employees Group Insurance Board. Any funds appropriated to, in the possession of or allocated to any of the consolidated agencies shall be deemed to be funds of the Office of Management and Enterprise Services.

B. Upon request of the ~~Director~~ State Chief Operating Officer of the Office of Management and Enterprise Services, the personnel of the consolidated agencies shall deliver to the Office of Management and Enterprise Services all books, papers, records and property of the consolidated agencies.

1 C. All functions, powers, duties and obligations previously
2 assigned to each of the consolidated agencies are hereby transferred
3 to the Office of Management and Enterprise Services.

4 D. All rules, regulations, acts, orders, determinations and
5 decisions of the consolidated agencies pertaining to the functions
6 and powers herein transferred and assigned to the Office of
7 Management and Enterprise Services, in force at the time of such
8 transfer, assignment, assumption or devolution shall continue in
9 force and effect as rules, regulations, acts, orders, determinations
10 and decisions of the consolidated agencies until duly modified or
11 abrogated by the appropriate body or until otherwise provided by
12 law.

13 SECTION 9. AMENDATORY 62 O.S. 2021, Section 34.5, is
14 amended to read as follows:

15 Section 34.5. The A. Except as provided by Section 7 of this
16 act and by the provisions of this section, the Governor shall
17 appoint a Director of the Office of Management and Enterprise
18 Services, by and with the consent of the Senate, who shall hold
19 office at the pleasure of the Governor and shall continue to serve
20 until a successor is duly appointed and is qualified.

21 B. The provisions of subsection A of this section shall
22 continue in force and effect until the Governor appoints a State
23 Chief Operating Officer pursuant to the provisions of Section 5 of
24 this act. On and after the effective date of such appointment, the

1 person appointed to the position of State Chief Operating Officer
2 shall have all authority to take such actions as may be required or
3 authorized by law in order to fulfill the duties of the position of
4 State Chief Operating Officer whether or not confirmed by the
5 Oklahoma State Senate. Any other person appointed to the position
6 of State Chief Operating Officer shall also have the same authority
7 whether or not confirmed by the Oklahoma State Senate.

8 SECTION 10. AMENDATORY 62 O.S. 2021, Section 34.6, as
9 amended by Section 2, Chapter 14, 2nd Extraordinary Session, O.S.L.
10 2022 (62 O.S. Supp. 2025, Section 34.6), is amended to read as
11 follows:

12 Section 34.6. A. ~~The Director of the Office of Management and~~
13 ~~Enterprise Services~~ State Chief Financial Officer shall have the
14 power and duty under the direction of the Governor to:

15 1. ~~Prepare the budget document and assist in the drafting of~~
16 ~~legislation to make it effective;~~

17 2. ~~Make field surveys and studies of governmental agencies,~~
18 ~~looking toward economy and greater efficiency;~~

19 3. ~~2.~~ 2. Make allotments to control expenditures;

20 4. ~~3.~~ 3. Authorize transfers of appropriation authorized by law;

21 5. ~~4.~~ 4. Study accounting and other reports rendered by the
22 Division of Central Accounting and Reporting;

23 6. ~~5.~~ 5. Enter into agreements with the United States Secretary of
24 the Treasury for the purpose of implementing federal law;

1 ~~7.~~ 6. Aid the Governor in the economical management of state
2 affairs; and

3 ~~8.~~ 7. Adopt such rules and regulations concerning the exercise
4 of powers and duties as the ~~Director~~ State Chief Financial Officer
5 shall deem appropriate, in accordance with the Administrative
6 Procedures Act.

7 B. In addition to other duties, the ~~Director of the Office of~~
8 ~~Management and Enterprise Services~~ State Chief Financial Officer
9 shall, upon request, advise and consult with members of the
10 Legislature and legislative committees concerning revenue and
11 expenditures of state agencies.

12 C. The ~~Director of the Office of Management and Enterprise~~
13 ~~Services~~ State Chief Financial Officer shall publish daily reports
14 of all expenditures of funds from the Coronavirus Aid, Relief, and
15 Economic Security (CARES) Act on the Oklahoma Checkbook page on the
16 state website.

17 D. The ~~Director of the Office of Management and Enterprise~~
18 ~~Services~~ State Chief Financial Officer shall report weekly on the
19 status of all grant agreements, as provided for in Section ~~4~~ 255.1
20 of this ~~act~~ title.

21 E. The ~~Director of the Office of Management and Enterprise~~
22 ~~Services~~ State Chief Financial Officer shall report quarterly to the
23 chairs of the Joint Committee on Pandemic Relief Funding and make
24 available to the public on the state's website, a quarterly report

1 of all expenditures of federal funds drawn down from the American
2 Rescue Plan Act 2021 (ARPA), Public Law 117-2.

3 F. The ~~Director of the Office of Management and Enterprise~~
4 ~~Services~~ State Chief Financial Officer shall provide technical
5 assistance to agencies seeking to comply with state law and federal
6 guidelines as a recipient of federal funds. Technical assistance
7 shall include, but not be limited to, procurement and competitive
8 bidding requirements assistance, capital expenditure assistance,
9 model templates, model agreements, grants management software or
10 other advice, recommended reporting, and accounting of federal
11 funds, to all state agencies who request technical assistance.

12 SECTION 11. AMENDATORY 62 O.S. 2021, Section 34.7, is
13 amended to read as follows:

14 Section 34.7. The ~~Director of the Office of Management and~~
15 ~~Enterprise Services~~ State Chief Financial Officer, with the approval
16 of the Governor, shall employ and make the appointment of such
17 experts and assistants as may be necessary to execute the purposes
18 of the Oklahoma State Finance Act. No appointments to positions
19 shall be made in excess of those positions authorized by the
20 Legislature for ~~the Division of the Budget~~, the Division of Central
21 Accounting and Reporting and the Information Services Division.

22 SECTION 12. AMENDATORY 62 O.S. 2021, Section 34.9, is
23 amended to read as follows:

1 Section 34.9. The ~~Director~~ State Chief Operating Officer of the
2 Office of Management and Enterprise Services is hereby authorized
3 and directed to classify funds in the State Treasury and to
4 prescribe the manner of issuance of checks or warrants against each
5 class of funds to accomplish the purpose for which each such fund
6 was created. The State Treasurer shall be, and is, required to keep
7 fund accounts in accordance with such classification. The ~~Director~~
8 ~~of the Office of Management and Enterprise Services~~ State Chief
9 Financial Officer shall group funds of a similar nature in a series
10 of classes. Accounting entities otherwise designated as funds, by
11 other provisions of law, may be retained, deactivated, merged with
12 other such entities or identified as accounts within funds as the
13 ~~Director of the Office of Management and Enterprise Services~~ State
14 Chief Financial Officer determines to be appropriate for purposes of
15 the modernization and maintenance of the fund structure of the
16 state.

17 SECTION 13. AMENDATORY 62 O.S. 2021, Section 34.10, as
18 amended by Section 1, Chapter 99, O.S.L. 2024 (62 O.S. Supp. 2025,
19 Section 34.10), is amended to read as follows:

20 Section 34.10. The ~~Director of the Office of Management and~~
21 ~~Enterprise Services~~ State Chief Financial Officer shall cause to be
22 prepared an annual comprehensive financial report, in accordance
23 with generally accepted accounting principles for governments, and
24 shall further have the general purpose financial statements included

1 in the annual comprehensive financial report audited in accordance
2 with generally accepted auditing standards. The ~~Director~~ State
3 Chief Financial Officer is hereby authorized to establish procedures
4 and guidelines which are consistent with those issued by the
5 Government Accounting Standards Board, and which shall be followed
6 by state agencies, colleges and universities and other entities who
7 are included in the report, for purposes of establishing consistent
8 application of accounting principles and to ensure the timeliness of
9 the report.

10 SECTION 14. AMENDATORY 62 O.S. 2021, Section 34.11.1, as
11 amended by Section 1, Chapter 193, O.S.L. 2024 (62 O.S. Supp. 2025,
12 Section 34.11.1), is amended to read as follows:

13 Section 34.11.1. A. There is hereby created the position of
14 State Chief Information Officer who shall be appointed by the
15 Governor. The State Chief Information Officer, ~~in addition to~~
16 ~~having~~ shall have authority over the ~~Information Services Division~~
17 ~~of the Office of Management and Enterprise Services, shall also~~
18 ~~serve as Secretary of Information Technology and Telecommunications~~
19 ~~or successor cabinet position and shall have jurisdictional areas of~~
20 ~~responsibility related to information technology and~~
21 ~~telecommunications systems of all state agencies as provided for in~~
22 ~~state law~~ Office of Strategic Technology Solutions. The salary of
23 the State Chief Information Officer shall not be less than One
24

1 Hundred Thirty Thousand Dollars (\$130,000.00) or more than One
2 Hundred Sixty Thousand Dollars (\$160,000.00).

3 B. There is hereby created the Office of Strategic Technology
4 Solutions. Any funds appropriated to and in possession of the
5 Information Division of the Office of Management and Enterprise
6 Services shall be deemed to be funds of the Office of Strategic
7 Technology Solutions. The personnel, records and property of the
8 Information Services Division of the Office of Management and
9 Enterprise Services shall be transferred to the Office of Strategic
10 Technology Solutions. The primary responsibilities of this office
11 and the State Chief Information Officer shall be to develop
12 technology solutions for and with state agencies, manage state
13 spending on technology, provide information technology support
14 services to agencies, and ensure standardized cybersecurity
15 standards across state government.

16 C. Any person appointed to the position of State Chief
17 Information Officer shall meet the following eligibility
18 requirements:

19 1. A baccalaureate degree in Computer Information Systems,
20 Information Systems or Technology Management, Business
21 Administration, Finance, or other similar degree;

22 2. A minimum of ten (10) years of professional experience with
23 responsibilities for management and support of information systems
24

1 and information technology, including seven (7) years of direct
2 management of a major information technology operation;

3 3. Familiarity with local and wide-area network design,
4 implementation, and operation;

5 4. Experience with data and voice convergence service
6 offerings;

7 5. Experience in developing technology budgets;

8 6. Experience in developing requests for proposal and
9 administering the bid process;

10 7. Experience managing professional staff, teams, and
11 consultants;

12 8. Knowledge of telecommunications operations;

13 9. Ability to develop and set strategic direction for
14 information technology and telecommunications and to manage daily
15 development and operations functions;

16 10. An effective communicator who is able to build consensus;

17 11. Ability to analyze and resolve complex issues, both logical
18 and interpersonal;

19 12. Effective verbal and written communications skills and
20 effective presentation skills, geared toward coordination and
21 education;

22 13. Ability to negotiate and defuse conflict; and

23 14. A self-motivator, independent, cooperative, flexible and
24 creative.

1 ~~C. D.~~ The salary and any other expenses for the State Chief
2 Information Officer shall be budgeted ~~as a separate line item~~
3 ~~through the Office of Management and Enterprise Services. The~~
4 ~~operating expenses of the Information Services Division shall be set~~
5 ~~by the Chief Information Officer and shall be budgeted as a separate~~
6 ~~line item through the Office of Management and Enterprise Services.~~
7 ~~The Office of Management and Enterprise Services shall provide~~
8 ~~adequate office space, equipment and support necessary to enable the~~
9 ~~Chief Information Officer to carry out the information technology~~
10 ~~and telecommunications duties and responsibilities of the Chief~~
11 ~~Information Officer and the Information Services Division to the~~
12 Office of Strategic Technology Solutions as a standalone agency.

13 ~~D. E.~~ 1. Within twelve (12) months of appointment, the ~~first~~
14 State Chief Information Officer shall complete an assessment, which
15 shall be modified annually pursuant to Section 35.5 of this title,
16 of the ~~implementation of the transfer,~~ coordination, and
17 modernization of all information technology and telecommunication
18 systems of all state agencies in the state as provided for in the
19 Oklahoma Information Services Act. The assessment shall include the
20 information technology and telecommunications systems of all
21 institutions within The Oklahoma State System of Higher Education,
22 the Oklahoma State Regents for Higher Education and the
23 telecommunications network known as OneNet as assembled and
24 submitted by the Oklahoma Higher Education Chief Information

1 Officer, as designated by the Oklahoma State Regents for Higher
2 Education.

3 2. Within twelve (12) months of appointment, the ~~first~~ State
4 Chief Information Officer shall issue a report setting out a plan of
5 action which will include the following:

6 a. define the shared service model organization structure
7 and the reporting relationship of the recommended
8 organization,

9 b. the implementation of an information technology and
10 telecommunications shared services model that defines
11 the statewide infrastructure environment needed by
12 most state agencies that is not specific to individual
13 agencies and the shared applications that are utilized
14 across multiple agencies,

15 c. define the services that shall be in the shared
16 services model under the control of the ~~Information~~
17 ~~Services Division of the Office of Management and~~
18 ~~Enterprise Services~~ Strategic Technology Solutions,

19 d. define the roadmap to implement the proposed shared
20 services model. The roadmap shall include
21 recommendations on the transfer, coordination, and
22 modernization of all information technology and
23 telecommunication systems of all the state agencies in
24 the state,

- 1 e. recommendations on the reallocation of information
2 technology and telecommunication resources and
3 personnel,
4 f. a cost benefit analysis to support the recommendations
5 on the reallocation of information technology and
6 telecommunication resources and personnel,
7 g. a calculation of the net savings realized through the
8 reallocation and consolidation of information
9 technology and telecommunication resources and
10 personnel after compensating for the cost of
11 contracting with a private consultant as authorized in
12 paragraph 4 of this subsection, implementing the plan
13 of action, and ongoing costs of the ~~Information~~
14 ~~Services Division of the Office of Management and~~
15 ~~Enterprise Services~~ Strategic Technology Solutions,
16 and
17 h. the information required in subsection B of Section
18 35.5 of this title.

19 3. The plan of action report shall be presented to the
20 Governor, Speaker of the Oklahoma House of Representatives, and the
21 President Pro Tempore of the Oklahoma State Senate.

22 ~~4. The Chief Information Officer may contract with a private~~
23 ~~consultant or consultants to assist in the assessment and~~
24

1 ~~development of the plan of action report as required in this~~
2 ~~subsection.~~

3 ~~E. F.~~ The State Chief Information Officer shall be authorized
4 to employ personnel, fix the duties and compensation of the
5 personnel, not otherwise prescribed by law, and otherwise direct the
6 work of the personnel in performing the function and accomplishing
7 the purposes of the ~~Information Services Division of the Office of~~
8 ~~Management and Enterprise Services~~ Strategic Technology Solutions.

9 ~~F. G.~~ The ~~Information Services Division of the Office of~~
10 ~~Management and Enterprise Services~~ Strategic Technology Solutions
11 shall be responsible for the following duties:

12 1. Formulate and implement the information technology strategy
13 for all state agencies;

14 2. Define, design, and implement a shared services statewide
15 infrastructure and application environment for information
16 technology and telecommunications for all state agencies;

17 3. Direct the development and operation of a scalable
18 telecommunications infrastructure that supports data and voice
19 communications reliability, integrity, and security;

20 4. Supervise the applications development process for those
21 applications that are utilized across multiple agencies;

22 5. Provide direction for the professional development of
23 information technology staff of state agencies and oversee the
24 professional development of the staff of the ~~Information Services~~

~~Division of the Office of Management and Enterprise Services~~

Strategic Technology Solutions;

6. Evaluate all technology and telecommunication investment choices for all state agencies;

7. Create a plan to ensure alignment of current systems, tools, and processes with the strategic information technology plan for all state agencies;

8. Set direction and provide oversight for the support and continuous upgrading of the current information technology and telecommunication infrastructure in the state in support of enhanced reliability, user service levels, and security;

9. Direct the development, implementation, and management of appropriate standards, policies and procedures to ensure the success of state information technology and telecommunication initiatives;

10. Recruit, hire and transfer the required technical staff in the Information Services Division of the Office of Management and Enterprise Services to support the services provided by the Division and the execution of the strategic information technology plan;

11. Establish, maintain, and enforce information technology and telecommunication standards;

12. Delegate, coordinate, and review all work to ensure quality and efficient operation of the ~~Information Services Division of the Office of Management and Enterprise Services~~ Strategic Technology Solutions;

1 13. Create and implement a communication plan that disseminates
2 pertinent information to state agencies on standards, policies,
3 procedures, service levels, project status, and other important
4 information to customers of the ~~Information Services Division of the~~
5 Office of ~~Management and Enterprise Services~~ Strategic Technology
6 Solutions and provide for agency feedback and performance evaluation
7 by customers of the Division;

8 14. Develop and implement training programs for state agencies
9 using the shared services of the ~~Information Services Division of~~
10 the Office of ~~Management and Enterprise Services~~ Strategic
11 Technology Solutions and recommend training programs to state
12 agencies on information technology and telecommunication systems,
13 products and procedures;

14 15. Provide counseling, performance evaluation, training,
15 motivation, discipline, and assign duties for employees of the
16 Information Services Division of the Office of ~~Management and~~
17 ~~Enterprise Services~~ Strategic Technology Solutions;

18 16. For all state agencies, approve the purchasing of all
19 information technology and telecommunication services and approve
20 the purchase of any information technology and telecommunication
21 product except the following:

- 22 a. a purchase less than or equal to Five Thousand Dollars
23 (\$5,000.00) if such product is purchased using a state
24 purchase card and the product is listed on either the

1 Approved Hardware or Approved Software list located on
2 the Office of ~~Management and Enterprise Services~~
3 Strategic Technology Solutions website, or

4 b. a purchase over Five Thousand Dollars (\$5,000.00) and
5 less than or equal to Twenty-five Thousand Dollars
6 (\$25,000.00) if such product is purchased using a
7 state purchase card, the product is listed on an
8 information technology or telecommunications statewide
9 contract, and the product is listed on either the
10 Approved Hardware or Approved Software list located on
11 the Office of ~~Management and Enterprise Services~~
12 Strategic Technology Solutions website;

13 17. Develop and enforce an overall infrastructure architecture
14 strategy and associated roadmaps for desktop, network, server,
15 storage, and statewide management systems for state agencies;

16 18. Effectively manage the design, implementation and support
17 of complex, highly available infrastructure to ensure optimal
18 performance, on-time delivery of features, and new products, and
19 scalable growth;

20 19. Define and implement a governance model for requesting
21 services and monitoring service level metrics for all shared
22 services; and
23
24

1 20. Create the budget for the ~~Information Services Division of~~
2 ~~the Office of Management and Enterprise Services~~ Strategic
3 Technology Solutions to be submitted to the Legislature each year.

4 ~~G.~~ H. The State Governmental Technology Applications Review
5 Board shall provide ongoing oversight of the implementation of the
6 plan of action required in subsection ~~D~~ E of this section. Any
7 proposed amendments to the plan of action shall be approved by the
8 Board prior to adoption.

9 ~~H.~~ I. 1. The State Chief Information Officer shall act as the
10 Information Technology and Telecommunications Purchasing Director
11 for all state agencies and shall be responsible for the procurement
12 of all information technology and telecommunication software,
13 hardware, equipment, peripheral devices, maintenance, consulting
14 services, high technology systems, and other related information
15 technology, data processing, telecommunication and related
16 peripherals and services for all state agencies. The State Chief
17 Information Officer shall establish, implement, and enforce policies
18 and procedures for the procurement of information technology and
19 telecommunication software, hardware, equipment, peripheral devices,
20 maintenance, consulting services, high technology systems, and other
21 related information technology, data processing, telecommunication
22 and related peripherals and services by purchase, lease-purchase,
23 lease with option to purchase, lease and rental for all state
24 agencies. The procurement policies and procedures established by

1 the State Chief Information Officer shall be consistent with The
2 Oklahoma Central Purchasing Act.

3 2. The State Chief Information Officer, or any employee or
4 agent of the State Chief Information Officer acting within the scope
5 of delegated authority, shall have the same power and authority
6 regarding the procurement of all information technology and
7 telecommunication products and services as outlined in paragraph 1
8 of this subsection for all state agencies as the State Purchasing
9 Director has for all acquisitions used or consumed by state agencies
10 as established in The Oklahoma Central Purchasing Act. Such
11 authority shall, consistent with the authority granted to the State
12 Purchasing Director pursuant to Section 85.10 of Title 74 of the
13 Oklahoma Statutes, include the power to designate financial or
14 proprietary information submitted by a bidder confidential and
15 reject all requests to disclose the information so designated, if
16 the State Chief Information Officer requires the bidder to submit
17 the financial or proprietary information with a bid, proposal, or
18 quotation.

19 ~~I. J.~~ The ~~Information Services Division of the Office of~~
20 ~~Management and Enterprise Services~~ Strategic Technology Solutions
21 and the State Chief Information Officer shall be subject to the
22 Oklahoma Central Purchasing Act for the approval and purchase of all
23 equipment, products, and services and shall also be subject to the
24 requirements of the Public Competitive Bidding Act of 1974, the

1 Oklahoma Lighting Energy Conservation Act and the Public Building
2 Construction and Planning Act. The State Chief Information Officer
3 shall be authorized to delegate all or some of the procurement of
4 information technology and telecommunication products and services
5 and construction of facilities and telecommunication networks to
6 another state entity if the State Chief Information Officer
7 determines it to be cost-effective and in the best interest of the
8 state. The State Chief Information Officer shall have authority to
9 designate information technology and telecommunication contracts as
10 statewide contracts and mandatory statewide contracts pursuant to
11 Section 85.5 of Title 74 of the Oklahoma Statutes and to negotiate
12 consolidation contracts, enterprise agreements and high technology
13 systems contracts. Any contract entered into by a state agency for
14 which the State Chief Information Officer has not acted as the
15 Information Technology and Telecommunications Purchasing Director as
16 required in this subsection or subsection ~~H~~ I of this section, shall
17 be deemed to be unenforceable and the Office of ~~Management and~~
18 ~~Enterprise Services~~ Strategic Technology Solutions shall not process
19 any claim associated with the provisions thereof.

20 ~~J.~~ K. The State Chief Information Officer shall establish,
21 implement, and enforce policies and procedure for the development
22 and procurement of an interoperable radio communications system for
23 state agencies. The State Chief Information Officer shall work with
24

1 local governmental entities in developing the interoperable radio
2 communications system.

3 ~~K.~~ L. The State Chief Information Officer shall develop and
4 implement a plan to utilize open source technology and products for
5 the information technology and telecommunication systems of all
6 state agencies.

7 ~~L.~~ M. All state agencies and authorities of this state and all
8 officers and employees of those entities shall work and cooperate
9 with and lend assistance to the State Chief Information Officer and
10 the ~~Information Services Division of the Office of Management and~~
11 ~~Enterprise Services~~ Strategic Technology Solutions and provide any
12 and all information requested by the State Chief Information
13 Officer.

14 ~~M.~~ N. The State Chief Information Officer shall prepare an
15 annual report detailing the ongoing net saving attributable to the
16 reallocation and consolidation of information technology and
17 telecommunication resources and personnel and shall submit the
18 report to the Governor, the Speaker of the Oklahoma House of
19 Representatives, and the President Pro Tempore of the Oklahoma State
20 Senate.

21 ~~N.~~ O. For purposes of the Oklahoma Information Services Act,
22 unless otherwise provided for, "state agencies" shall include any
23 office, officer, bureau, board, commission, counsel, unit, division,
24 body, authority or institution of the executive branch of state

1 government, whether elected or appointed; provided, except with
2 respect to the provisions of subsection ~~D~~ E of this section, the
3 term "state agencies" shall not include institutions within The
4 Oklahoma State System of Higher Education, the Oklahoma State
5 Regents for Higher Education and the telecommunications network
6 known as OneNet.

7 ~~Θ~~ P. As used in this section:

8 1. "High technology system" means advanced technological
9 equipment, software, communication lines, and services for the
10 processing, storing, and retrieval of information by a state agency;

11 2. "Consolidation contract" means a contract for several state
12 or public agencies for the purpose of purchasing information
13 technology and telecommunication goods and services; and

14 3. "Enterprise agreement" means an agreement for information
15 technology or telecommunication goods and services with a supplier
16 who manufactures, develops and designs products and provides
17 services that are used by one or more state agencies.

18 SECTION 15. AMENDATORY 62 O.S. 2021, Section 34.11, is
19 amended to read as follows:

20 Section 34.11. The Division of Central Accounting and Reporting
21 shall operate under the supervision of the State Chief Financial
22 Officer, and be responsible for accounting and auditing duties and
23 the auditing and settlement of purchase orders, contracts, claims,
24 payrolls, and other obligations.

1 The Division of Central Accounting and Reporting shall prepare
2 uniform budget and accounting classifications for all state agencies
3 and shall implement appropriate accounting methods and systems in
4 state agencies. The Division of Central Accounting and Reporting
5 shall:

6 1. Settle all claims payable by this state;

7 2. Verify distribution of all taxes and other dues collected
8 for local governments;

9 3. Superintend the recovery of all debts due state government;

10 4. Keep the central budget and proprietary accounts of the
11 state government;

12 5. Prepare and issue financial and accounting reports, at least
13 quarterly;

14 6. Prescribe all forms, systems, and procedure for
15 administering accounting for the several departments and
16 establishments;

17 7. At the request of a state agency, assist in establishing
18 standards, policies and procedures that ensure a strong and
19 effective system of internal controls and regular monitoring of
20 them;

21 8. Certify each and every requisition by a duly accredited
22 disbursing officer for an advance of funds from the State Treasury
23 to the ~~Director of the Office of Management and Enterprise Services~~
24 State Chief Financial Officer for approval; and

1 9. Establish a pre-audit system of settling claims for the
2 entire government of this state and for state agencies in which
3 vouchers supporting proposed payments are submitted to the Office of
4 Management and Enterprise Services for audit and settlement.

5 SECTION 16. AMENDATORY Section 1, Chapter 36, 1st
6 Extraordinary Session, O.S.L. 2023 (62 O.S. Supp. 2025, Section
7 34.11.1.2), is amended to read as follows:

8 Section 34.11.1.2. There is hereby created in the State
9 Treasury a revolving fund for the Office of Management and
10 Enterprise Services to be designated the "Oklahoma Employment
11 Security Commission Information Technology Innovation Revolving
12 Fund". The fund shall be a continuing fund, not subject to fiscal
13 year limitations, and shall consist of all monies appropriated to
14 the revolving fund created herein. All monies accruing to the
15 credit of the fund are hereby appropriated and may be budgeted and
16 expended by the Office of Management and Enterprise Services for the
17 purpose of augmenting the information technology infrastructure of
18 the Oklahoma Employment Security Commission. Expenditures from the
19 fund shall be made upon warrants issued by the State Treasurer
20 against claims filed as prescribed by law with the ~~Director~~ State
21 Chief Operating Officer of the Office of Management and Enterprise
22 Services for approval and payment.

23 SECTION 17. AMENDATORY 62 O.S. 2021, Section 34.22, is
24 amended to read as follows:

1 Section 34.22. There is hereby created in the State Treasury a
2 revolving fund for the Office of Management and Enterprise Services
3 to be designated the "Telecommunications Revolving Fund". The fund
4 shall be a continuing fund, not subject to fiscal year limitations,
5 and shall consist of appropriations made by the Legislature and
6 reimbursements for providing telecommunications services as defined
7 in Sections 34.19, 34.20, 34.21 and 34.24 of this title. All monies
8 accruing to such fund are hereby appropriated and may be budgeted
9 and expended by the Office of Management and Enterprise Services for
10 the purpose of providing telecommunications, Internet, and
11 eGovernment services, as referenced in Sections 34.24 and 34.25 of
12 this title, the construction and maintenance of information
13 technology facilities and services, and other related services.
14 Expenditures from said fund shall be made upon warrants issued by
15 the State Treasurer against claims filed as prescribed by law with
16 the ~~Director~~ State Chief Operating Officer of the Office of
17 Management and Enterprise Services for approval and payment.

18 SECTION 18. AMENDATORY 62 O.S. 2021, Section 34.27, is
19 amended to read as follows:

20 Section 34.27. A. There is hereby established the State
21 Governmental Technology Applications Review Board. The Board shall
22 be composed of the following members:

23 1. The ~~Director~~ State Chief Operating Officer of the Office of
24 Management and Enterprise Services or a designee;

1 2. Four representatives from different state agencies, boards,
2 commissions, or authorities to be appointed by the Governor, at
3 least one of which shall be employed by a law enforcement agency;

4 3. Two members who are not state government employees to be
5 appointed by the Speaker of the House of Representatives; and

6 4. Two members who are not state government employees to be
7 appointed by the President Pro Tempore of the Senate.

8 B. Members of the Board shall serve for terms of two (2) years.
9 The Board shall select a chair from among its members.

10 C. Members of the Board shall not receive compensation for
11 serving on the Board, but shall be reimbursed for travel expenses
12 incurred in the performance of their duties by their respective
13 agencies or appointing authority in accordance with the State Travel
14 Reimbursement Act.

15 D. Notwithstanding any other section of law, any member of the
16 Board attending a meeting via teleconference shall be counted as
17 being present in person and shall count toward the determination of
18 whether a quorum of the Board is present at the meeting.

19 E. The Board shall have the duty and responsibility of:

20 1. Reviewing for approval all convenience fees and merchant
21 fees as defined in Section 34.25 of this title and changes in
22 convenience fees and merchant fees charged by state agencies,
23 boards, commissions, or authorities;

1 2. Monitoring all portal systems and applications for portal
2 systems created by state agencies, boards, commissions, or
3 authorities, reviewing portal systems applications approved or
4 denied by the Information Services Division of the Office of
5 Management and Enterprise Services, and making recommendations to
6 the Legislature and Governor to encourage greater use of the open-
7 systems concept as is defined in Section 34.26 of this title;

8 3. Granting an exemption for a specific license or permit to a
9 state agency from the requirements of Section 34.24.1 of this title.
10 The exemption shall be limited in time as warranted by the
11 circumstances. The Board shall grant the exemption only if
12 presented compelling evidence that the issuance of the license or
13 permit requires the provision of information that cannot be provided
14 through an online licensing or permitting process and that the
15 failure of the applicant to provide the information would create a
16 significant risk to the integrity of the license or permit. The
17 exemption provided for in this paragraph shall not apply to license
18 renewals pursuant to the Oklahoma Vehicle License and Registration
19 Act;

20 4. Providing ongoing oversight of implementation of the plan of
21 action developed by the State Chief Information Officer pursuant to
22 Section 34.11.1 of this title and approving any amendments to the
23 plan of action;

1 5. Approving charges to state agencies established by the
2 Information Services Division pursuant to Section 35.5 of this title
3 for shared services as defined in Section 35.3 of this title;

4 6. Functioning in an advisory capacity to the State Chief
5 Information Officer; and

6 7. Approving a plan by which public elementary and secondary
7 schools of the state may recover the cost of instructional
8 technology resources issued by the schools.

9 SECTION 19. AMENDATORY 62 O.S. 2021, Section 34.28, is
10 amended to read as follows:

11 Section 34.28. A. The Information Services Division of the
12 Office of Management and Enterprise Services shall work to assure
13 state compliance regarding accessibility of information technology
14 for individuals with disabilities based on the provisions of Section
15 508 of the Workforce Investment Act of 1998.

16 B. When developing, procuring, maintaining or using information
17 technology, or when administering contracts or grants that include
18 the procurement, development, upgrading, or replacement of
19 information technology each state agency shall ensure, unless an
20 undue burden would be imposed on the agency, that the information
21 technology allows employees, program participants, and members of
22 the general public access to use of information and data that is
23 comparable to the access by individuals without disabilities.

1 C. To assure accessibility, the Information Services Division
2 shall:

3 1. Adopt accessibility standards that address all technical
4 standard categories of Section 508 of the Workforce Investment Act
5 of 1998 to be used by each state agency in the procurement of
6 information technology, and in the development and implementation of
7 custom-designed information technology systems, Web sites, and other
8 emerging information technology systems;

9 2. Adopt an accessibility clause which shall be included in all
10 contracts for the procurement of information technology by or for
11 the use of state agencies;

12 3. Establish and implement a review procedure to be used to
13 evaluate the accessibility of custom-designed information technology
14 systems proposed by a state agency prior to expenditure of state
15 funds;

16 4. Review and evaluate accessibility of information technology
17 commonly purchased by state agencies, and provide accessibility
18 reports on such products to those responsible for purchasing
19 decisions;

20 5. Provide in partnership with Oklahoma Able Tech, the state
21 assistive technology program located at Oklahoma State University,
22 training and technical assistance for state agencies to assure
23 procurement of information technology that meets adopted
24 accessibility standards;

1 6. Consult with the State Department of Rehabilitation Services
2 and individuals with disabilities in accessibility reviews of
3 information technology and in the delivery of training and technical
4 assistance;

5 7. Establish complaint procedures, consistent with Section 508
6 of the Workforce Development Act of 1998, to be used by an
7 individual who alleges that a state agency fails to comply with the
8 provisions of this section;

9 8. Work with and seek advice from the Electronic and
10 Information Technology Accessibility Advisory Council, created in
11 Section 34.30 of this title in developing accessibility standards
12 and complaint procedures as required in this section; and

13 9. Require state agencies to submit evidence of assurance of
14 compliance with state standards on accessibility of information
15 technology for individuals with disabilities developed in accordance
16 with this section.

17 D. The ~~Director~~ State Chief Operating Officer of the Office of
18 Management and Enterprise Services shall promulgate rules, as
19 necessary, to implement the provisions of this section.

20 SECTION 20. AMENDATORY 62 O.S. 2021, Section 34.34, is
21 amended to read as follows:

22 Section 34.34. It shall be the duty of the ~~Director~~ State Chief
23 Operating Officer of the Office of Management and Enterprise
24 Services, after making a complete detailed study of each state

1 agency, to prepare the budget under the supervision and direction of
2 the Governor.

3 SECTION 21. AMENDATORY 62 O.S. 2021, Section 34.35, is
4 amended to read as follows:

5 Section 34.35. Each state agency shall immediately furnish the
6 ~~Director~~ State Chief Operating Officer of the Office of Management
7 and Enterprise Services any information concerning their respective
8 affairs or activities, upon request and in such form as directed.

9 SECTION 22. AMENDATORY 62 O.S. 2021, Section 34.36, as
10 amended by Section 2, Chapter 199, O.S.L. 2025 (62 O.S. Supp. 2025,
11 Section 34.36), is amended to read as follows:

12 Section 34.36. A. On the first day of October preceding each
13 regular session of the Legislature, each state agency, including
14 those created or established pursuant to constitutional provisions,
15 shall report to the ~~Director of the Office of Management and~~
16 ~~Enterprise Services~~ State Chief Financial Officer and the Chair and
17 Vice Chair of the Legislative Oversight Committee on State Budget
18 Performance an itemized request showing the amount needed for the
19 ensuing fiscal year beginning with the first day of July.

20 B. The forms which must be used in making these reports shall
21 be approved by the ~~Director of the Office of Management and~~
22 ~~Enterprise Services~~ State Chief Financial Officer and the
23 Legislative Oversight Committee on State Budget Performance.
24

1 C. The forms shall be uniform, and shall clearly designate the
2 information to be given.

3 D. The information provided shall include, but not be limited
4 to:

5 1. A budget analysis of existing and proposed programs
6 utilizing performance-informed budgeting techniques. Such analysis
7 shall be included as a part of the estimate of funds needed;

8 2. A statement listing any other state, federal or local
9 agencies which administer a similar or cooperating program and an
10 outline of the interaction among such agencies;

11 3. A statement of the statutory authority for the missions and
12 quantified objectives of each program;

13 4. A description of the groups of people served by each program
14 in the agency;

15 5. A quantification of the need for the program;

16 6. A description of the tactics which are intended to
17 accomplish each objective;

18 7. A list of quantifiable program outcomes which measure the
19 efficiency and effectiveness of each program;

20 8. A ranking of these programs by priority;

21 9. Actual program expenditures for the current fiscal year and
22 prior fiscal years and the number of personnel required to
23 accomplish each program;

24 10. Revenues expected to be generated by each program, if any;

1 11. With respect to appropriated state agencies, a detailed
2 listing of all employees and resources dedicated to the provision of
3 financial services including but not limited to procurement,
4 payroll, accounts receivable and accounts payable. The provisions
5 of this paragraph shall not be applicable to the Oklahoma State
6 Regents for Higher Education or to any institutions within The
7 Oklahoma State System of Higher Education; and

8 12. A certification that following the effective date of this
9 act and prior to July 1, 2011, no expenditure shall have been made
10 or funds encumbered for the purchase, lease, lease-purchase or
11 rental of any computers, software, telecom, information technology
12 hardware, firmware or information technology services, including
13 support services without the prior written approval of the State
14 Comptroller or his or her designee.

15 E. These appropriated agencies shall make an itemized estimate
16 of needs for the ensuing fiscal year and the following two (2)
17 fiscal years and request for funds for the ensuing fiscal year and
18 an estimate of the revenues from all sources to be received by the
19 agency during the ensuing fiscal year and the following two (2)
20 fiscal years.

21 ~~F. The Director of the Office of Management and Enterprise~~
22 ~~Services~~ State Chief Financial Officer shall submit to the Governor
23 and the Legislative Oversight Committee on State Budget Performance
24

1 no later than the fifth day of October a complete list of all
2 spending agencies which have failed to submit budgets by October 1.

3 G. The reports required by this section shall include an
4 itemized listing of outstanding capital lease debt and estimated
5 capital lease needs for the ensuing fiscal year and the following
6 two (2) fiscal years, and shall be provided on forms prescribed by
7 the ~~Director of the Office of Management and Enterprise Services~~
8 State Chief Financial Officer.

9 H. For the purposes of this section, "capital lease" means a
10 lease-purchase agreement which provides an option for the State of
11 Oklahoma or its agencies to purchase property, including personal
12 and real property, which is the subject thereof and/or a lease
13 agreement that provides an option for the State of Oklahoma or its
14 agencies to lease such property, which is the subject thereof, at a
15 nominal annual amount, after a period in which leased property is
16 rented at fair market value.

17 I. Not later than January 1, the ~~Director~~ State Chief Operating
18 Officer of the Office of Management and Enterprise Services shall
19 publish a shared services cost-performance assessment report
20 documenting the amount of each state agency's cost for providing
21 shared services. The lowest ranking state agencies shall enter into
22 a contract with the Office of Management and Enterprise Services for
23 the provision of shared financial services, provided that the
24 ~~Director~~ State Chief Operating Officer of the Office of Management

1 and Enterprise Services determines that implementation of such a
2 contract would be feasible and documents that the contractual
3 agreement will result in cost savings or efficiencies to the state.
4 Contracts required by this subsection shall be entered into at the
5 start of the next fiscal year. When a state agency is contracted
6 with the Office of Management and Enterprise Services for the
7 provision of shared financial services, the agency may discontinue
8 using shared services when documentation showing that the agency can
9 provide the services at a lower cost to the state is provided to and
10 approved by the ~~Director~~ State Chief Operating Officer of the Office
11 of Management and Enterprise Services. As used in this subsection,
12 "shared services" means process, resource utilization or action as
13 defined by administrative rule. On a yearly basis the ~~Director~~
14 State Chief Operating Officer of the Office of Management and
15 Enterprise Services shall compile and publish a report documenting
16 the cost savings resulting from shared services contracts. The
17 provisions of this subsection shall not be applicable to the
18 Oklahoma State Regents for Higher Education or to any institutions
19 within The Oklahoma State System of Higher Education.

20 SECTION 23. AMENDATORY 62 O.S. 2021, Section 34.36.1, is
21 amended to read as follows:

22 Section 34.36.1. A. Each state agency that is required to
23 provide an itemized budget request pursuant to the provisions of
24 Section 34.36 of Title 62 of the Oklahoma Statutes shall provide to

1 the ~~Director of the Office of Management and Enterprise Services~~
2 State Chief Financial Officer a written report, in a form approved
3 by the ~~Director~~ State Chief Financial Officer, containing the
4 following information:

5 1. The amount of federal funds received by the agency;

6 2. The source or sources of federal funds received by the
7 agency;

8 3. A description of any action required to be taken by the
9 agency as a condition for the receipt or continued receipt of
10 federal funds; and

11 4. A description of any action prohibited to be taken by the
12 agency as a condition for the receipt or continued receipt of
13 federal funds.

14 B. The report shall be submitted with the budget information
15 required by Section 34.36 of Title 62 of the Oklahoma Statutes by
16 the date required by that section.

17 C. The ~~Director of the Office of Management and Enterprise~~
18 ~~Services~~ State Chief Financial Officer shall post the information
19 contained in each agency's report on the website created pursuant to
20 Section 46 of Title 62 of the Oklahoma Statutes.

21 SECTION 24. AMENDATORY 62 O.S. 2021, Section 34.40, is
22 amended to read as follows:

23 Section 34.40. A. When lump sum appropriations are made for
24 personal services, or for maintenance and operations, or for

1 maintenance and operations including personal services, no monies so
2 appropriated shall be available for payments for such expenses until
3 a schedule of positions and salaries and the amounts to be available
4 for the expenses shall have been approved by the ~~Director of the~~
5 ~~Office of Management and Enterprise Services~~ State Chief Financial
6 Officer and posted to the state accounting system. The provisions
7 of this subsection shall not apply to such appropriations for the
8 Legislature or judiciary, for expenses of holding elections, or for
9 temporary services or day labor.

10 B. Any such approved schedule of positions and salaries may be
11 amended with the approval of the ~~Director of the Office of~~
12 ~~Management and Enterprise Services~~ State Chief Financial Officer.

13 C. The request officer for each agency shall show the
14 classification of the expenditures for their agency, and such
15 classification shall follow the uniform budget and accounting
16 classifications adopted for similar spending agencies, except for
17 items peculiar to certain departments or institutions.

18 D. The ~~Director of the Office of Management and Enterprise~~
19 ~~Services~~ State Chief Financial Officer shall not have authority to
20 fix the amount of any agency salary or eliminate any position listed
21 on such schedule. However, the ~~Director~~ State Chief Financial
22 Officer shall not approve the schedule of positions and salaries
23 when the total amount of funds requested to be allotted fails to
24 reserve a sufficient balance to finance the operations of the agency

1 for the remainder of that fiscal year, considering any possible
2 failure in the revenue estimated to be collected for that fiscal
3 year.

4 ~~E. The Director of the Office of Management and Enterprise~~
5 ~~Services~~ State Chief Financial Officer shall not have the authority
6 to curtail the operation of any particular part of the program, but
7 shall order a reduction in the total program only where insufficient
8 revenues are anticipated to carry on the program for the period
9 concerned.

10 SECTION 25. AMENDATORY 62 O.S. 2021, Section 34.41, is
11 amended to read as follows:

12 Section 34.41. Appropriations shall not be available for
13 contractual or expenditure purposes until allotted as provided in
14 the Oklahoma State Finance Act. Appropriations made by the
15 Legislature to each state agency are hereby declared to be maximum,
16 conditional and proportionate appropriations. The purpose of this
17 section is to make appropriations payable in full in the amounts
18 named only in the event that the estimated budget resources within
19 each state fund during each fiscal year are sufficient to pay all of
20 the appropriations for such fiscal year in full. It is also the
21 purpose of this provision to ensure that there shall be no overdraft
22 or deficit created in the several funds of the state at the end of
23 any fiscal year, and the ~~Director of the Office of Management and~~
24 ~~Enterprise Services~~ State Chief Financial Officer is directed and

1 required so to administer the Oklahoma State Finance Act to prevent
2 such overdraft or deficit.

3 SECTION 26. AMENDATORY 62 O.S. 2021, Section 34.42, as
4 last amended by Section 3, Chapter 199, O.S.L. 2025 (62 O.S. Supp.
5 2025, Section 34.42), is amended to read as follows:

6 Section 34.42. A. On or before the first day of June in each
7 year, or as soon thereafter as possible, all agencies shall file
8 agency budgets with the ~~Director of the Office of Management and~~
9 ~~Enterprise Services~~ State Chief Financial Officer. Copies of all
10 agency budgets shall also be made available electronically to the
11 staff of the Joint Legislative Committee on Budget and Program
12 Oversight.

13 B. The required instructions, content and format of agency
14 budgets shall be developed by the staff of the Budget Division of
15 the Office of Management and Enterprise Services.

16 C. 1. The agency budget shall include a description of all
17 funds available to the agency for expenditure and set out allotments
18 requested by the agency by quarter and the entire fiscal year.

19 2. The agency budget shall be accompanied by an organizational
20 chart of the agency, a statement of agency mission and program
21 objectives.

22 3. The agency budget shall delineate agency spending by such
23 categories and with at least as much detail as is specified in the
24 legislative appropriation and as prescribed by the ~~Director of the~~

~~Office of Management and Enterprise Services~~ State Chief Financial Officer.

4. Agency budgets shall be signed by the executive officer of each agency.

5. The executive officer shall certify that the agency is in complete compliance with the requirements of Section 34.11.3 of this title and Section 3-114 of Title 65 of the Oklahoma Statutes.

D. A "request officer" shall be designated by each state agency for the purpose of making program and allotment requests.

E. Executive officers of agencies shall cooperate with the Office of Management and Enterprise Services staff and Joint Committee staff in developing program budgeting categories.

F. All funds available or expected to be made available to any agency, including nonfiscal appropriations, shall not be available for expenditure until the request officer of the agency has complied with the applicable provisions of the Oklahoma State Finance Act and has received approval of such request for funds from the ~~Director of the Office of Management and Enterprise Services~~ State Chief Financial Officer.

SECTION 27. AMENDATORY 62 O.S. 2021, Section 34.43, is amended to read as follows:

Section 34.43. A. All agencies of the state shall submit to the ~~Director of the Office of Management and Enterprise Services~~ State Chief Financial Officer in all agency budgets, in addition to

1 other required information, whether such reports relate to past,
2 present or future expenditures, an itemization of the amount
3 attributable to each of the following expenses:

4 1. The number of persons, total amount of all salaries, the
5 total amount of travel and subsistence expense and the total amount
6 of personnel expense for:

- 7 a. data processing directors,
- 8 b. systems analysts,
- 9 c. programmers,
- 10 d. electronic data processing operators,
- 11 e. punch card machine operators,
- 12 f. data processing control personnel,
- 13 g. data processing clerical personnel, and
- 14 h. other data processing personnel;

15 2. Rental of data processing equipment;

16 3. Purchase of data processing equipment;

17 4. Maintenance of data processing equipment, if not included in
18 rental expense;

19 5. Data processing supplies;

20 6. Data processing planning;

21 7. Data processing conversion from one system to another;

22 8. Rental and purchase of non-data processing equipment and
23 supplies utilized in a data processing operation;

24 9. Shipment of data processing equipment;

1 10. Rental of communication lines for transmission of data
2 processing information;

3 11. Data processing education;

4 12. Rental of software packages;

5 13. Contracting for development of systems; and

6 14. Other data processing expense.

7 B. All disbursements made from treasury funds by any state
8 agency for the above-named expenses shall be budgeted to and
9 disbursed from a special allotment account to be created by the
10 ~~Director of the Office of Management and Enterprise Services~~ State
11 Chief Financial Officer.

12 C. This section shall not preclude agencies from programming
13 and expending intra-agency data processing costs for cost allocation
14 purposes.

15 SECTION 28. AMENDATORY 62 O.S. 2021, Section 34.44, is
16 amended to read as follows:

17 Section 34.44. In any year in which a Governor-elect assumes
18 office, the budget shall be the budget of the new Governor and shall
19 be submitted to the Legislature by the new Governor. The ~~Division~~
20 Office of the Budget State Chief Financial Officer shall render to
21 the Governor-elect all possible assistance in the preparation of the
22 budget. The Governor and agencies of the state shall furnish the
23 Governor-elect estimates and other budget information, in order that
24

1 the Governor-elect may discharge effectively his or her budget
2 responsibilities upon assuming office.

3 SECTION 29. AMENDATORY 62 O.S. 2021, Section 34.47, is
4 amended to read as follows:

5 Section 34.47. A. The Division of Central Accounting and
6 Reporting shall allocate all revenues to the credit of any fund in
7 the State Treasury except the Public Building Fund, in accordance
8 with the provisions of Section 23 of Article X of the Oklahoma
9 Constitution.

10 B. ~~The Director of the Office of Management and Enterprise~~
11 ~~Services~~ State Chief Financial Officer may require that
12 appropriations for capital expenditures be financed by a separate
13 cash account so that allocations of cash to any agency for purposes
14 of constructing buildings, making improvements, purchasing
15 equipment, or other capital expenditures, may not be used to finance
16 the current operations of the agency.

17 C. Appropriations which are nonfiscal for contractual and
18 expenditure purposes, shall be considered fiscal for revenue
19 purposes, but may be allotted for expenditure at any time within
20 thirty (30) months from date such acts are enacted. Revenue which
21 accrues to the credit of the Public Building Fund in the State
22 Treasury shall be allocated to the appropriations from the Public
23 Building Fund in consecutive order. The Governor shall designate
24 the order of payment of the appropriations from the Public Building

1 Fund. The ~~Director of the Office of Management and Enterprise~~
2 ~~Services~~ State Chief Financial Officer shall allocate the
3 collections sufficient to pay the first appropriation designated by
4 the Governor, before the ~~Director~~ State Chief Financial Officer
5 allocates any amount to the second and so on, until all
6 appropriations are provided for. The contracting agency receiving
7 such appropriation shall not contract the same until revenue has
8 been allocated as provided in the Oklahoma State Finance Act.

9 SECTION 30. AMENDATORY 62 O.S. 2021, Section 34.49, is
10 amended to read as follows:

11 Section 34.49. A. Appropriations and/or federal funds shall be
12 allotted for each agency as provided by the language of the
13 legislative appropriation and other applicable state law. Items may
14 be allotted on a monthly, quarterly, semiannual or annual basis upon
15 the written request of the agency and the approval of the ~~Director~~
16 ~~of the Office of Management and Enterprise Services~~ State Chief
17 Financial Officer.

18 B. The request officer for each agency shall present the
19 proposed classification of the expenditures for that agency in such
20 manner as may be required by the Office of Management and Enterprise
21 Services.

22 C. Each agency shall be required to identify those items that
23 are for capital purposes in keeping with the definition of capital
24 projects promulgated by the Long-Range Capital Planning Commission.

1 Requests for capital appropriations and an agency's original budget
2 request shall be for capital projects that have been submitted to
3 the Long-Range Capital Planning Commission for review.

4 ~~D. The Director of the Office of Management and Enterprise~~
5 ~~Services~~ State Chief Financial Officer shall review the requested
6 allotments with respect to the agency budget with each agency. The
7 ~~Director~~ State Chief Financial Officer may require the agency to
8 change such allotments before approving them, if it is deemed
9 necessary, reserving a sufficient balance in the appropriation to
10 finance the operations of the agency for the remainder of any fiscal
11 year.

12 E. At the end of any fiscal year, the entire amount
13 appropriated to any agency must be allotted to the agency by the
14 ~~Director of the Office of Management and Enterprise Services~~ State
15 Chief Financial Officer, except where the estimated budget resources
16 during any fiscal year are insufficient to pay all of the
17 appropriations of the state in full for such year. The ~~Director of~~
18 ~~the Office of Management and Enterprise Services~~ State Chief
19 Financial Officer shall not allot to any agency during any fiscal
20 year, an amount which will be in excess of the amount of revenue
21 collected and allocated to appropriations made to such agency.

22 F. In the event of a failure of revenue, the ~~Director of the~~
23 ~~Office of Management and Enterprise Services~~ State Chief Financial
24 Officer shall control the allotment to prevent obligations being

1 incurred in excess of the revenue to be collected. However, within
2 each state fund where a revenue failure occurs, the ~~Director of the~~
3 ~~Office of Management and Enterprise Services~~ State Chief Financial
4 Officer shall make all reductions apply to each state agency or
5 special appropriation made by the State Legislature, in the ratio
6 that its total appropriation for that fiscal year bears to the total
7 of all appropriations for that fiscal year, as provided in Section
8 23 of Article X of the Oklahoma Constitution.

9 G. An allotment may be approved for any item for the entire
10 year or may be approved on a monthly, quarterly, or semiannual
11 basis, but in no case shall the aggregate of such allotments for any
12 agency exceed the total appropriation made available to such agency
13 for the fiscal year to which they apply. Each agency's request for
14 appropriation allotments shall show the amount required to finance
15 each item of the request for the entire year and on a quarterly
16 basis within each fiscal year.

17 H. The ~~Director of the Office of Management and Enterprise~~
18 ~~Services~~ State Chief Financial Officer shall review each allotment
19 request for the purpose of determining whether:

20 1. The itemized requests are in accordance with the agency
21 budget;

22 2. The accounting classification is sufficient to reflect the
23 purposes for which the expenditures are to be made;

1 3. The current financial requirements of the agency justify the
2 monthly or quarterly allotment, reserving a sufficient balance to
3 finance the remaining months or quarters; and

4 4. The realization of the estimated revenues is sufficient to
5 allow the allotments to be made.

6 I. The Legislature shall be exempt from submitting any agency
7 budget or allotment request.

8 SECTION 31. AMENDATORY 62 O.S. 2021, Section 34.50, is
9 amended to read as follows:

10 Section 34.50. A. All agencies of the state which are
11 operating either partially or entirely from revenues derived from
12 sources other than legislative appropriations or authorizations
13 shall file requests for allotments under the same provisions as are
14 required for those agencies that receive direct legislative
15 appropriations which distinctly specify the amount appropriated.

16 B. ~~The Director of the Office of Management and Enterprise~~
17 ~~Services~~ State Chief Financial Officer shall approve such requests
18 for allotments pursuant to the language of the legislative
19 appropriation and other applicable state law, if the estimated
20 revenues accruing to such fund are sufficient to finance such
21 allotments within the period for which the items are approved, and
22 if the account classification clearly shows the purposes for which
23 the money is to be expended. However, obligations as they are
24 incurred may not exceed the unencumbered balance of surplus cash on

1 hand in accordance with Section 23 of Article X of the Oklahoma
2 Constitution.

3 C. The ~~Director of the Office of Management and Enterprise~~
4 ~~Services~~ State Chief Financial Officer may require a more detailed
5 breakdown of accounts before approving such requests.

6 D. This section shall apply to agencies receiving federal
7 funds, but shall not apply to donated funds, trust funds or funds of
8 an agency relationship.

9 SECTION 32. AMENDATORY 62 O.S. 2021, Section 34.51, is
10 amended to read as follows:

11 Section 34.51. A. If an allotment request is approved by the
12 ~~Director of the Office of Management and Enterprise Services~~ State
13 Chief Financial Officer, it shall be transmitted to the request
14 officer of the agency concerned and to the Division of Central
15 Accounting and Reporting.

16 B. Legislative appropriations or authorizations are the legal
17 basis for expending the state's monies. Allotments shall be made
18 against these legislative appropriations or authorizations and shall
19 be entered on the records of the Division of Central Accounting and
20 Reporting in such accounts as may be required by the ~~Director of the~~
21 ~~Office of Management and Enterprise Services~~ State Chief Financial
22 Officer.

23 C. The allotments approved by the ~~Director of the Office of~~
24 ~~Management and Enterprise Services~~ State Chief Financial Officer

1 shall be the portion of the appropriation set aside to cover
2 encumbrances and expenditures for a designated purpose during a
3 monthly, quarterly, semiannual or annual period.

4 D. The Division of Central Accounting and Reporting shall not
5 approve claims for payment in excess of the amount allotted for each
6 account approved by the ~~Director of the Office of Management and~~
7 ~~Enterprise Services~~ State Chief Financial Officer.

8 E. After the first allotments for each agency of the state have
9 been authorized by the ~~Director of the Office of Management and~~
10 ~~Enterprise Services~~ State Chief Financial Officer, subsequent
11 allotments may be authorized upon the request of an agency and with
12 the approval of the ~~Director of the Office of Management and~~
13 ~~Enterprise Services~~ State Chief Financial Officer.

14 F. The ~~Director of the Office of Management and Enterprise~~
15 ~~Services~~ State Chief Financial Officer may authorize new accounts in
16 addition to those requested in the original allotment request, or
17 may increase the amount allotted for a monthly, quarterly,
18 semiannual or annual period. A balance remaining in any of the
19 allotment accounts at the end of any monthly, quarterly, or semi-
20 annual period, shall be available for expenditure the subsequent
21 period; however, subsequent allotment requests and the ~~Director's~~
22 State Chief Financial Officer's approval should take into
23 consideration any unencumbered or unexpended balance remaining at
24 the time such subsequent requests are approved.

1 SECTION 33. AMENDATORY 62 O.S. 2021, Section 34.52, is
2 amended to read as follows:

3 Section 34.52. A. The administrative head of any agency or the
4 request officer may request that any current item of appropriation,
5 allotment, or budget category be transferred to any other budget
6 category within the same agency.

7 B. The administrative head shall make a request for budget
8 transfer to the ~~Director of the Office of Management and Enterprise~~
9 ~~Services~~ State Chief Financial Officer in writing and file a revised
10 agency budget.

11 C. Copies of the request for budget transfer and corresponding
12 agency budget revisions shall also be filed with the Joint
13 Legislative Committee on Budget and Program Oversight as created by
14 Section 34.96 of this title.

15 D. The ~~Director of the Office of Management and Enterprise~~
16 ~~Services~~ State Chief Financial Officer shall approve the request for
17 transfer unless both the Chair and Vice Chair of the Joint
18 Legislative Committee on Budget and Program Oversight provide
19 written notification to the ~~Director of the Office of Management and~~
20 ~~Enterprise Services~~ State Chief Financial Officer within twelve (12)
21 calendar days of receipt of transfer request that the transfer
22 subverts the intention and objectives of the Legislature in
23 establishing the original appropriation, or unless the transfer does
24 not meet the requirements of this section or Section 34.49 of this

1 title. Notification of noncompliance with legislative intent shall
2 be transmitted to the ~~Director of the Office of Management and~~
3 ~~Enterprise Services~~ State Chief Financial Officer within twelve (12)
4 calendar days of receipt of the transfer request. The ~~Director of~~
5 ~~the Office of Management and Enterprise Services~~ State Chief
6 Financial Officer shall give written notice of approval or
7 disapproval of each budget transfer to the agency, the Governor and
8 the Chair and Vice Chair of the Joint Legislative Committee on
9 Budget and Program Oversight within eighteen (18) calendar days of
10 receiving the request.

11 E. Transfers shall be subject to the following limitations:

12 1. The amount to be transferred, together with all previous
13 transfers, shall not exceed twenty-five percent (25%) of the total
14 appropriation of the least of the items of appropriation, allotment
15 or agency budget involved in the transfer; and

16 2. If the amount to be transferred, and all previous transfers,
17 is greater than twenty-five percent (25%) of the least items of
18 appropriation, allotment or agency budget involved in the transfer
19 request, the agency may make an application to the ~~Director of the~~
20 ~~Office of Management and Enterprise Services~~ State Chief Financial
21 Officer, and the Chair and Vice Chair of the Joint Legislative
22 Committee on Budget and Program Oversight. If the agency obtains
23 written approval from the ~~Director of the Office of Management and~~
24 ~~Enterprise Services~~ State Chief Financial Officer and the Chair and

1 Vice Chair of the Joint Legislative Committee Budget and Program
2 Oversight, an additional fifteen percent (15%) may be transferred.

3 SECTION 34. AMENDATORY 62 O.S. 2021, Section 34.53, as
4 amended by Section 1, Chapter 84, O.S.L. 2025 (62 O.S. Supp. 2025,
5 Section 34.53), is amended to read as follows:

6 Section 34.53. A. 1. The Oklahoma State System of Higher
7 Education, established by Article XIII-A of the Oklahoma
8 Constitution, shall operate an allotment system similar to the
9 procedure set out in the Oklahoma State Finance Act for other
10 agencies of the state except that the Oklahoma State Regents for
11 Higher Education shall be substituted for the ~~Director of the Office~~
12 ~~of Management and Enterprise Services~~ State Chief Financial Officer
13 in connection with approving allotment requests of the constituent
14 institutions comprising The Oklahoma State System of Higher
15 Education.

16 2. The account classification for the State System of Higher
17 Education shall conform as nearly as possible with the
18 classification of accounts recommended by the National Committee on
19 Standard Reports for Institutions of Higher Education.

20 3. The Board of Regents shall allocate to each institution
21 under its control from the consolidated, or lump sum appropriation
22 made by the Legislature, an amount sufficient to meet the needs and
23 functions of each institution for the entire year.

1 4. The amount allocated to each institution for each fiscal
2 year in accordance with Article XIII-A of the Oklahoma Constitution,
3 shall be made in a lump sum without regard to uniform budget or
4 accounting classifications, but shall not be available for
5 expenditure until subsequently allotted by the Regents in accordance
6 with the uniform budget and accounting classifications recommended
7 by the National Committee on Standard Reports.

8 B. The Oklahoma State Regents for Higher Education may reduce
9 the allocation of funds which could otherwise be made to an
10 institution within The Oklahoma State System of Higher Education in
11 order to make payments for leases within the lease financing program
12 authorized by Section 3206.6a of Title 70 of the Oklahoma Statutes.

13 C. 1. The Regents, with the approval of the ~~Director of the~~
14 ~~Office of Management and Enterprise Services~~ State Chief Financial
15 Officer, may allot money to any constituent institution to set up
16 and operate a petty cash fund at such institution. Such petty cash
17 fund shall be reimbursed upon the filing of claims showing the
18 purposes for which the funds were expended.

19 2. The Division of Central Accounting and Reporting shall make
20 cash allocations of revenue in accordance with Section 23 of Article
21 X of the Oklahoma Constitution, to each of the constituent
22 institutions. These cash allocations shall be based on the
23 allocations made by the Regents to each institution from the lump
24 sum legislative appropriations and such allocation shall be the

1 total appropriation for each institution, in lieu of legislative
2 appropriations.

3 3. After these funds have been allocated and allotted as
4 provided in this section, all institutional income shall operate as
5 a continuing nonfiscal appropriation which may be spent for any
6 educational and general purposes for which appropriated funds may be
7 spent. "Institutional income" for such purposes shall mean all
8 income available for educational and general purposes, as defined in
9 the uniform budget and accounting classifications recommended by the
10 National Committee on Standard Reports, and including income defined
11 by law as revolving fund income. Expenditures shall be limited to
12 the extent that obligations as they are incurred may not exceed the
13 unencumbered balance of cash on hand in accordance with Section 23
14 of Article X of the Oklahoma Constitution.

15 D. 1. At least thirty (30) days prior to the beginning of each
16 fiscal year, each of the constituent institutions shall file with
17 the Regents its request for appropriation allotments for each of the
18 purposes for which expenditures are to be made.

19 2. Such requests shall be broken down to conform to the uniform
20 budget or accounting classifications recommended by the National
21 Committee on Standard Reports.

22 3. Each institution's request for appropriation allotments
23 shall show the amount required to finance each item of the request
24 for the entire year and for each quarter or each six-month period

1 within the fiscal year, as required by the ~~Director~~ State Chief
2 Financial Officer of the Office of Management and Enterprise
3 Services.

4 E. The Regents, or the official or employee who has been
5 authorized to approve itemized allotment requests, shall consider
6 the allotment requests for the purpose of making a determination
7 whether:

8 1. The current financial requirements of the institution
9 concerned justify the allotment to be made;

10 2. The accounting classification is sufficient to reflect the
11 purpose for which expenditures are to be made and that such
12 classification is in accordance with the budget classifications
13 adopted by the ~~Director of the Office of Management and Enterprise~~
14 ~~Services~~ State Chief Financial Officer and the Regents, which shall
15 conform as nearly as possible to the account classification
16 recommended by the National Committee on Standard Reports for
17 Institutions of Higher Education; and

18 3. The realization of estimated revenues determined by the
19 ~~Director of the Office of Management and Enterprise Services~~ State
20 Chief Financial Officer is sufficient to allow the commitments to be
21 made.

22 F. 1. In allotting appropriations and other funds, and
23 approving subsequent allotments which may be required by each
24 institution, the Regents shall follow the same general procedure set

1 forth in the Oklahoma State Finance Act for other agencies of the
2 state not under the control of the Regents, except as otherwise
3 provided in this section.

4 2. All forms and account classifications shall be mutually
5 agreed upon by the ~~Director of the Office of Management and~~
6 ~~Enterprise Services~~ State Chief Financial Officer and the State
7 Regents.

8 3. The Regents shall file approved requests of constituent
9 institutions with the Division of Central Accounting and Reporting
10 and such requests shall be entered on the records of the Office of
11 Management and Enterprise Services in the same manner as is provided
12 in the Oklahoma State Finance Act for other agencies of the state.

13 4. The State Regents and the ~~Director of the Office of~~
14 ~~Management and Enterprise Services~~ State Chief Financial Officer
15 shall approve any request from the administrative head of a
16 constituent institution for amendment of the approved schedule of
17 positions and salaries, or transfers between items, so long as the
18 currently approved allotment for such purposes is not exceeded.
19 Each such amendment shall be filed with the Office of Management and
20 Enterprise Services, in such detail as may be required, prior to the
21 date on which the first payroll or other disbursement affected by
22 such amendment or transfer is submitted for payment.

23 G. 1. In the event that the realization of estimated revenues
24 at any time during the fiscal year indicates that the total revenue

1 for that fiscal year to any state fund will be insufficient at the
2 end of the fiscal year to meet the total appropriations from that
3 fund, the ~~Director of the Office of Management and Enterprise~~
4 ~~Services~~ State Chief Financial Officer shall notify the Oklahoma
5 State Regents for Higher Education as to the amount of reduction
6 necessary against the consolidated, or lump sum appropriations, made
7 to the Regents.

8 2. The Regents, in making itemized allotments during the fiscal
9 year, may reserve an amount sufficient to meet a reasonable failure
10 of revenue until receipt of notice from the ~~Director of the Office~~
11 ~~of Management and Enterprise Services~~ State Chief Financial Officer
12 that the realization of estimated revenues indicates that the total
13 appropriation may be allotted for expenditure. Upon receipt of
14 notice from the ~~Director of the Office of Management and Enterprise~~
15 ~~Services~~ State Chief Financial Officer of a necessary reduction in
16 the consolidated, or lump sum appropriation, to meet a failure in
17 revenue, the Oklahoma State Regents for Higher Education shall
18 immediately take action to control the approval of subsequent
19 allotment requests sufficient to make the aggregate reduction in
20 allotments of all constituent institutions under their control equal
21 the amount of reduction ordered against the lump sum appropriation
22 made by the Legislature. Such reductions against the lump sum
23 appropriation shall not exceed the percentage reduction ordered

1 against other agencies of the state in accordance with Section 23 of
2 Article X of the Oklahoma Constitution.

3 SECTION 35. AMENDATORY 62 O.S. 2021, Section 34.54, is
4 amended to read as follows:

5 Section 34.54. There is hereby created in the State Treasury a
6 division of the State General Revenue Fund which shall be designated
7 the "General Revenue Cash-flow Reserve Fund". The purpose of the
8 General Revenue Cash-flow Reserve Fund is to make cash available for
9 the July cash allocation and so that, insofar as possible, each
10 monthly cash allocation thereafter can equal one-twelfth (1/12) of
11 the annual appropriation from the General Revenue Fund.

12 1. Each year the ~~Director of the Office of Management and~~
13 ~~Enterprise Services~~ State Chief Financial Officer may transfer
14 monies from the then current fiscal year General Revenue Fund to the
15 General Revenue Cash-flow Reserve Fund for the succeeding fiscal
16 year when the apportionment to the General Revenue Fund is in excess
17 of amounts required for the allocations necessary to fund
18 appropriations made by the Legislature for the then current fiscal
19 year. The amount to be transferred shall not exceed ten percent
20 (10%) of the amount certified by the State Board of Equalization as
21 available for appropriation from the General Revenue Fund for the
22 next succeeding fiscal year.

23 2. Any monies transferred to the General Revenue Cash-flow
24 Reserve Fund pursuant to paragraph 1 of this section, shall be

1 transferred by the ~~Director of the Office of Management and~~
2 ~~Enterprise Services~~ State Chief Financial Officer as nonrevenue
3 receipts to the State General Revenue Fund in the amounts necessary
4 to make cash available for the July cash allocation and so that,
5 insofar as possible, each monthly cash allocation thereafter can
6 equal one-twelfth (1/12) of the annual appropriation.

7 3. By the first Monday of each December, the Office of
8 Management and Enterprise Services shall analyze and submit to the
9 State Board of Equalization the amount of monies remaining in the
10 General Revenue Cash-flow Reserve Fund which are not necessary for
11 current year cash-flow needs and are available for legislative
12 appropriation.

13 4. On the second Monday of June of each year, the ~~Director of~~
14 ~~the Office of Management and Enterprise Services~~ State Chief
15 Financial Officer shall close the preceding fiscal year General
16 Revenue Cash-flow Reserve Fund by transfer to the then current
17 fiscal year General Revenue Fund.

18 5. Any monies in the prior year General Revenue Cash-flow
19 Reserve Fund which are not necessary for the current year cash-flow
20 needs shall be subject to legislative appropriation.

21 SECTION 36. AMENDATORY 62 O.S. 2021, Section 34.55, is
22 amended to read as follows:

23 Section 34.55. A. The ~~Director of the Office of Management and~~
24 ~~Enterprise Services~~ State Chief Financial Officer may transfer

1 monies from any treasury fund to the General Revenue Cash-flow
2 Reserve Fund as required to satisfy monthly allocations scheduled
3 from the General Revenue Fund for the then current fiscal year.
4 Funds from which any monies are so transferred shall be repaid
5 before any transfers are made from the General Revenue Fund to the
6 General Revenue Cash-flow Reserve Fund for the subsequent fiscal
7 year.

8 B. ~~The Director of the Office of Management and Enterprise~~
9 ~~Services~~ State Chief Financial Officer may transfer monies to any
10 treasury fund from the General Revenue Cash-flow Reserve Fund as
11 required to satisfy cash-flow requirements of the federal Cash
12 Management Improvement Act. Funds to which any monies are so
13 transferred shall be repaid within the same month. If insufficient
14 funds exist in the General Revenue Cash-flow Reserve Fund for this
15 purpose, the General Revenue Fund for the then current fiscal year
16 may be used with the same repayment stipulations.

17 SECTION 37. AMENDATORY 62 O.S. 2021, Section 34.56, is
18 amended to read as follows:

19 Section 34.56. A. There is hereby re-created, to continue
20 until July 1, 2008, in accordance with the provisions of the
21 Oklahoma Sunset Law, a Special Agency Account Board, to consist of
22 the ~~Director of the Office of Management and Enterprise Services~~
23 State Chief Financial Officer, the State Treasurer and the Director
24 of the Legislative Service Bureau. The Board shall have the

1 authority to approve the establishment of agency special accounts in
2 the official depository of the State Treasury. In the case of
3 institutions of higher education, the Special Agency Account Board,
4 acting in conjunction with the Oklahoma State Regents for Higher
5 Education, shall establish special agency accounts as appropriate
6 which shall be consistent with provisions of the Oklahoma State
7 Finance Act, as it relates to institutions in The Oklahoma State
8 System of Higher Education.

9 B. The Board, created by this section, shall adopt procedures
10 including application forms, justification and other pertinent
11 information as to the basis for a state agency application for the
12 establishment of agency special accounts.

13 C. The Board may approve agency special accounts for money
14 received by state agencies for the following purposes:

15 1. Benefit programs for individuals, including, but not limited
16 to, unemployment compensation, workers' compensation and state
17 retirement programs;

18 2. Revenues produced by activities or facilities ancillary to
19 the operation of a state agency which receive no money, directly or
20 indirectly, from or through that state agency, including, but not
21 limited to, revenues from the sales of food at retail level, sales
22 at canteens, sales at student unions, sales at student bookstores,
23 receipts from athletic programs and receipts from housing.

24 Provided, however, that a state institution of higher learning may

1 purchase necessary equipment and instructional supplies and office
2 supplies from a student bookstore, or, subject to authorization by
3 the Oklahoma State Regents for Higher Education, may rent building
4 space for institutional use in a building operated by an
5 organization or entity whose existence is ancillary to the operation
6 of a state agency, and whose cost was financed in whole or in part
7 with revenue-type bonds; provided, further, that the cost of such
8 office supplies or space rental shall not exceed the cost of similar
9 supplies or rentals available commercially;

10 3. Gifts, devises and bequests with an agency as beneficiary,
11 unless otherwise provided by statute;

12 4. Evidence funds for law enforcement agencies;

13 5. Student loan funds and scholarship funds;

14 6. Funds held in escrow;

15 7. Land Commission funds;

16 8. Funds for which the state agency acts as custodian,
17 including, but not limited to, fees from employee earnings approved
18 by the governing board of the agency, funds of student organizations
19 including student activity fees collected by an educational
20 institution as a separate item in enrollment procedures,
21 professional organizations, patients and inmates;

22 9. Funds used by the Oklahoma Tax Commission to pay for the
23 filing of liens with the Federal Aviation Administration;

1 10. Temporary accounts for funds arising from new or amended
2 legislation not otherwise provided for in statute or for other
3 emergency situations. Such accounts are to be utilized only pending
4 legislative action directing custody of such funds;

5 11. Payment of liability claims against the state;

6 12. Activities of the various Armory Boards of the Oklahoma
7 Military Department to receive and dispense funds derived by the
8 Armory Boards pursuant to Sections 232.6 and 232.7 of Title 44 of
9 the Oklahoma Statutes; and

10 13. Payment of expenses incurred in connection with the
11 acceptance of payments made with nationally recognized credit cards.

12 D. The State Treasurer is authorized to accept deposit of money
13 made directly to agency special accounts approved by the Board. All
14 money received by a state agency, as described in Section 34.57 of
15 this title, shall be deposited in State Treasury funds or accounts
16 and no money shall be deposited in banks or other depositories
17 unless the bank accounts are maintained by the State Treasurer or
18 are for the deposit of authorized petty cash funds.

19 E. Money deposited in agency special accounts shall be
20 disbursed on vouchers issued by the state agency concerned to
21 accomplish the purpose for which the money was intended.

22 F. Funds and revenues of the Grand River Dam Authority are
23 exempt from the requirements of this section.

1 G. Funds and revenues of the Oklahoma Municipal Power Authority
2 are exempt from the requirements of this section.

3 H. Monies used for investment purposes by the Oklahoma
4 Firefighters Pension and Retirement System, the Oklahoma Police
5 Pension and Retirement System, the Uniform Retirement System for
6 Justices and Judges, the Oklahoma Law Enforcement Retirement System,
7 the Oklahoma Public Employees Retirement System, the Teachers'
8 Retirement System of Oklahoma, the State Insurance Fund, the
9 Oklahoma Employees Insurance and Benefits Board, the Commissioners
10 of the Land Office, and the Oklahoma State Regents for Higher
11 Education for its Endowment Trust Fund are exempt from the
12 requirements of this section, and shall be placed with the
13 respective custodian bank or trust company.

14 SECTION 38. AMENDATORY 62 O.S. 2021, Section 34.58, is
15 amended to read as follows:

16 Section 34.58. A. Each state agency shall furnish to the
17 ~~Director of the Office of Management and Enterprise Services~~ State
18 Chief Financial Officer, in such form as the ~~Director~~ State Chief
19 Financial Officer shall prescribe, detailed information showing the
20 income, disbursements, and transfers for each agency clearing
21 account and each agency's special account. Income, disbursements
22 and transfers shall be identified in accordance with code
23 designations as provided in the accounting procedures of the Office
24 of Management and Enterprise Services.

1 B. ~~The Director of the Office of Management and Enterprise~~
2 ~~Services~~ State Chief Financial Officer may approve any modification
3 in the code designations of income, disbursements and transfers that
4 he or she finds expedient.

5 C. The State Treasurer shall not honor vouchers disbursing and
6 transferring monies from agency clearing accounts or special
7 accounts, when he or she has been notified by the ~~Director~~ State
8 Chief Operating Officer of the Office of Management and Enterprise
9 Services that an agency is not in compliance with the provisions of
10 subsection A of this section.

11 SECTION 39. AMENDATORY 62 O.S. 2021, Section 34.62, is
12 amended to read as follows:

13 Section 34.62. Encumbrance requirements for payments from funds
14 of the state shall include the following:

15 1. Whenever agencies of this state enter into contracts for, or
16 on behalf of the state for the purchase of tangible or intangible
17 property, or for services or labor, such agreement shall be
18 evidenced by written contracts or purchase orders, and must be
19 transmitted to the ~~Director~~ State Chief Operating Officer of the
20 Office of Management and Enterprise Services within a reasonable
21 time from the date of the awarding of the contract or purchase
22 order, as determined by the ~~Director~~ State Chief Operating Officer;

23 2. The ~~Director~~ State Chief Operating Officer of the Office of
24 Management and Enterprise Services shall charge such contracts or

1 purchase orders against the proper account as an outstanding order
2 until it is liquidated by payment of a claim, or claims, against the
3 contracts or purchase orders, or by cancellation of the contract or
4 purchase order;

5 3. The ~~Director~~ State Chief Operating Officer of the Office of
6 Management and Enterprise Services shall have the power to authorize
7 agencies of the state to make acquisitions without the submission of
8 competitive bids or compliance with the state purchase card program
9 as otherwise required by the Oklahoma Central Purchasing Act, for or
10 on behalf of the state whenever the ~~Director~~ State Chief Operating
11 Officer determines that it is in the best interests of the state.

12 The administrative head of any agency shall be personally liable for
13 obligations incurred in excess of the authorization granted by the
14 ~~Director~~ State Chief Operating Officer;

15 4. The ~~Director~~ State Chief Operating Officer of the Office of
16 Management and Enterprise Services shall never authorize payment of
17 claims for any agency of the state unless they are supported by:

- 18 a. contracts or purchase orders of the Office of
19 Management and Enterprise Services,
- 20 b. institutional purchase orders or contracts,
- 21 c. departmental purchase orders or contracts, or
- 22 d. authorizations for purchases granted by the ~~Director~~
23 State Chief Operating Officer as provided by paragraph
24 3 of this section;

1 5. Any invoice or claim dated prior to the date of any of the
2 above-mentioned encumbrance documents shall be rejected by the
3 Office of Management and Enterprise Services;

4 6. Any encumbrance document that is outstanding on the records
5 in the Office of Management and Enterprise Services when its funding
6 source or sources lapse shall be canceled, unless another current
7 funding source is assigned; and

8 7. The Commissioners of the Land Office shall be authorized to
9 make payment of fees to its custodial banks, investment consultants
10 and investment managers from the proceeds of total realized
11 investment gains and such payments may be made from a special fund
12 hereby created in the State Treasury for this purpose. Total
13 payments for this purpose in a fiscal year shall not exceed one-half
14 percent (0.5%) of the market value of the funds under the
15 Commissioners' management on June 30 of the previous fiscal year.

16 SECTION 40. AMENDATORY 62 O.S. 2021, Section 34.63, is
17 amended to read as follows:

18 Section 34.63. A. The State Treasurer shall be the disbursing
19 agency of the state and shall draw either checks or warrants payable
20 at the State Treasury, in payment of all claims, including payrolls,
21 against the state which shall be paid out of the Treasury, as
22 follows:

23 1. Each check or warrant shall specify the date of its issue
24 and the name of the person to whom payable; and

1 2. For each check, or warrant, issued by the State Treasurer,
2 there shall be a record which shall specify the gross amount, the
3 amount of withholding, if any, and the net amount payable to the
4 payee.

5 B. At the end of each month the State Treasurer shall report to
6 the ~~Director~~ State Chief Operating Officer of the Office of
7 Management and Enterprise Services in such form as the ~~Director~~
8 State Chief Operating Officer shall prescribe, all checks or
9 warrants issued during the month.

10 C. Checks or warrants issued by the State Treasurer shall be
11 registered on the records of the State Treasurer in such manner as
12 shall be prescribed by the ~~Director~~ State Chief Operating Officer of
13 the Office of Management and Enterprise Services; provided, that
14 each check or warrant shall indicate thereon the fund against which
15 the same shall be charged. The purpose of this section is to permit
16 checks or warrants to be registered in the order in which they are
17 drawn upon the State Treasury.

18 SECTION 41. AMENDATORY 62 O.S. 2021, Section 34.64, is
19 amended to read as follows:

20 Section 34.64. A. Except as otherwise provided in the Oklahoma
21 State Finance Act and except for Automated Clearing House (ACH)
22 debits for transactional fees, procedures for paying claims or
23 payrolls shall include the following:
24

1 1. All miscellaneous claims and payroll claims for the payment
2 of money from the State Treasury shall be filed with the ~~Director~~
3 State Chief Operating Officer of the Office of Management and
4 Enterprise Services for audit and settlement prior to being filed
5 for payment with the State Treasurer;

6 2. The ~~Director~~ State Chief Operating Officer of the Office of
7 Management and Enterprise Services may establish alternative
8 procedures for the settlement of claims whenever such procedures are
9 more advantageous so long as they are consistent with the
10 requirements of state law;

11 3. Such alternative procedures shall be at the discretion of
12 the ~~Director~~ State Chief Operating Officer of the Office of
13 Management and Enterprise Services and may include, but are not
14 limited to:

- 15 a. a procedure to permit consolidated payment to vendors
16 for claims involving more than one agency of the state
17 when audit and settlement of such claims, as
18 hereinafter provided, can in all respects be
19 accomplished,
- 20 b. procedures based upon valid statistical sampling
21 models for preaudit of claims, against contracts,
22 purchase orders and other commitments before entering
23 such claims against the accounts, and

1 c. policies, procedures and performance criteria for the
2 participation of agencies or departments, not
3 authorized by this section, to engage in an
4 alternative system for the settlement of claims; and

5 4. The ~~Director~~ State Chief Operating Officer of the Office of
6 Management and Enterprise Services may use a numeric or alphanumeric
7 designation to cross-reference claims or payrolls to check warrant
8 numbers, transfer entry or optional settlement mode used in the
9 payment thereof.

10 B. Except for ACH debits for transactional fees, after claims
11 or payrolls or both have been properly audited and recorded against
12 the respective contracts, purchase orders, other commitments and
13 accounts, the Division of Central Accounting and Reporting shall
14 certify such claims or payrolls to the State Treasurer for payment.

15 C. Except for ACH debits for transactional fees, it shall be
16 the responsibility of the Division of Central Accounting and
17 Reporting to determine that:

18 1. All material legal requirements concerning the expenditure
19 of monies involved in each claim or payroll have been complied with;

20 2. Funds have been properly and legally allotted for the
21 payment of the claim or payroll; and

22 3. A sufficient balance exists for the payment of same.

23 D. The ~~Director~~ State Chief Operating Officer of the Office of
24 Management and Enterprise Services or bonded employees in the

1 Division of Central Accounting and Reporting authorized by the
2 ~~Director~~ State Chief Operating Officer shall certify to the State
3 Treasurer that the claim or payroll has been approved for payment.

4 E. 1. The ~~Director~~ State Chief Operating Officer of the Office
5 of Management and Enterprise Services shall be authorized to
6 establish necessary agency disbursing funds to efficiently
7 accommodate the cash flow requirements of applicable federal
8 regulations, bond indebtedness and other directives deemed
9 appropriate by the ~~Director~~ State Chief Operating Officer.

10 2. Agencies operating such disbursing funds are authorized to
11 establish a preaudit and settlement system for claims or payments or
12 both relating to the purposes of the stated directives.

13 3. The State Treasurer shall establish procedures for the state
14 in accordance with Federal Banking and National Automated Clearing
15 House Association standards and agencies shall be required to
16 utilize automated clearing house procedures established by the State
17 Treasurer.

18 4. No individual or entity shall be required to have a bank
19 account unless required by federal law or federal regulation.

20 5. Agencies shall be further required to present these
21 transactions to the Office of Management and Enterprise Services in
22 a summarized format and shall include any accounting information
23 necessary as determined by the ~~Director~~ State Chief Operating
24

1 Officer of the Office of Management and Enterprise Services
2 including, but not limited to, information related to federal law.

3 6. Administrative expenditures shall not be eligible for these
4 procedures.

5 7. The efficiency of the payment system shall be considered
6 when the interest earnings of the state are not diminished.

7 F. The ~~Director~~ State Chief Operating Officer of the Office of
8 Management and Enterprise Services shall be authorized to process
9 payments for federal tax withholding without claim forms. The
10 ~~Director~~ State Chief Operating Officer shall establish a separate
11 fund for the purpose of accumulating federal income tax withholding
12 from payrolls and remitting same to the United States Treasury.
13 Institutions under the administrative authority of the Oklahoma
14 State Regents for Higher Education which are responsible for
15 processing payments for federal tax withholding shall be authorized
16 to process such payments to the United States Treasury without claim
17 forms.

18 G. 1. The ~~Director~~ State Chief Operating Officer of the Office
19 of Management and Enterprise Services shall be authorized to
20 process, without claim forms, interest payments to the U.S. Treasury
21 as required by federal law.

22 2. Agencies are responsible for the accrual of such interest
23 liability of the state and shall provide payment to the Office of
24 Management and Enterprise Services in the amount and method

1 prescribed by the ~~Director~~ State Chief Operating Officer of the
2 Office of Management and Enterprise Services.

3 3. Any liability of the U.S. Treasury as determined by federal
4 law shall be deposited in the State Treasury and transferred by the
5 ~~Director~~ State Chief Operating Officer of the Office of Management
6 and Enterprise Services to the General Revenue Fund of the state
7 subsequent to final determination and necessary audit resolution.

8 H. Payments disbursed from the State Treasury shall be conveyed
9 solely through an electronic payment mechanism. The State Treasurer
10 may provide an exemption from the provisions of this subsection,
11 with cause, provided the number of exempted payments and a
12 corresponding list of causes shall be published in a regularly
13 updated report which is featured prominently on the State
14 Treasurer's website.

15 I. Notwithstanding any other provision of the Oklahoma State
16 Finance Act and subject to any applicable restrictions in the
17 Oklahoma Constitution, the ~~Director~~ State Chief Operating Officer of
18 the Office of Management and Enterprise Services may establish
19 procedures by which agencies may contract for, incur and account for
20 transaction-based fees, such as fees for accepting credit cards,
21 that may be processed by ACH debit without claim forms, provided the
22 agency has sufficient statutory authority for purchase. Prior to
23 authorizing ACH debit transactions without claim forms, state
24 agencies shall provide notice to the State Treasurer.

1 SECTION 42. AMENDATORY 62 O.S. 2021, Section 34.65, is
2 amended to read as follows:

3 Section 34.65. A. To facilitate the payment of vendor invoices
4 and contract estimates, the ~~Director~~ State Chief Operating Officer
5 of the Office of Management and Enterprise Services shall prescribe
6 a uniform document to be used by all agencies of the state. The
7 document shall provide summarized information relative to the
8 referenced invoices or contract estimates, together with a space for
9 the approval of the head of the agency approving said vendor
10 invoices or contract estimates for payment.

11 B. Vendor invoices and contract estimates shall be accepted by
12 the state in lieu of the claim form previously required in the same
13 manner as commercial invoices are paid.

14 C. Vendor invoices and contract estimates shall be filed with
15 the agency receiving the merchandise or services in the same manner
16 as invoices are filed with commercial firms.

17 D. Upon receipt of invoices or contract estimates, the head of
18 the agency, or the agency's authorized agent, may approve said
19 documents for payment as confirmation of delivery or acceptance of
20 the goods or services. Whereupon, the approved invoices or contract
21 estimates shall be attached to the document provided for such
22 purpose and the head of the agency approving such invoices of
23 contract estimates for payment shall affix the approval in the space
24 provided on the document.

1 E. Commercial invoices shall be accepted in lieu of the
2 standard notarized claim prescribed by the state.

3 SECTION 43. AMENDATORY 62 O.S. 2021, Section 34.66, is
4 amended to read as follows:

5 Section 34.66. A. The State Treasurer shall write checks or
6 warrants in payment of claims and payrolls certified to the State
7 Treasurer for payment by the Division of Central Accounting and
8 Reporting or:

- 9 1. The Department of Human Services;
- 10 2. The Department of Rehabilitative Services;
- 11 3. The State Department of Health;
- 12 4. The Department of Transportation;
- 13 5. The State Department of Education;
- 14 6. The Oklahoma Department of Career and Technology Education;
- 15 and
- 16 7. The institutions within The Oklahoma State System of Higher
17 Education.

18 B. The State Treasurer, within such limitations as the State
19 Treasurer may prescribe, may authorize the ~~Director~~ State Chief
20 Operating Officer of the Office of Management and Enterprise
21 Services and the entities specified in subsection A of this section
22 to issue the checks or warrants for payment of claims and payrolls
23 that have been certified by the respective agency.

1 C. The ~~Director~~ State Chief Operating Officer of the Office of
2 Management and Enterprise Services and the entities specified in
3 subsection A of this section shall provide the State Treasurer a
4 register of each payment for each check or warrant issued. To
5 protect against fraud, information contained within the register of
6 checks or warrants shall not be subject to the Oklahoma Open Records
7 Act until the earlier of:

8 1. Such checks or warrants are submitted for redemption; or

9 2. Such checks or warrants are cancelled by statute.

10 D. In lieu of checks or warrants:

11 1. The ~~Director~~ State Chief Operating Officer of the Office of
12 Management and Enterprise Services may, with the concurrence of the
13 State Treasurer, settle interagency claims by transfer entry; and

14 2. At the discretion of the State Treasurer, pay claims and
15 payrolls by the electronic transfer of funds.

16 SECTION 44. AMENDATORY 62 O.S. 2021, Section 34.67, is
17 amended to read as follows:

18 Section 34.67. A. The ~~Director~~ State Chief Operating Officer
19 of the Office of Management and Enterprise Services is hereby
20 authorized to prescribe forms and electronic systems to process
21 claims and payroll to be used by the various agencies of the state.
22 Any agency of the state may file a claim against more than one item
23 of the current allotments within funds by indicating on the claim or
24 payroll the account, or accounts to be charged. The ~~Director~~ State

1 Chief Operating Officer shall approve and charge such claim to the
2 account, or accounts, indicated after proper audit of the claim or
3 payroll.

4 B. These payroll systems are hereby authorized for use in
5 claiming amounts due individually to all employees within an agency
6 of the state. Each payroll record shall show the total earnings,
7 the amount of each type of withholding and the net amount due each
8 employee. Withholdings may be reserved by the ~~Director~~ State Chief
9 Operating Officer of the Office of Management and Enterprise
10 Services to be paid to the proper entity by lump sum payments.

11 SECTION 45. AMENDATORY 62 O.S. 2021, Section 34.68, is
12 amended to read as follows:

13 Section 34.68. A. The elected or appointed executives of any
14 state agency or their designated administrative employees shall
15 approve individual claims of the agency which are used as the basis
16 for the payment of money from the State Treasury from any fund.
17 These individuals shall be known as the "agency approving officers".

18 B. Payrolls shall show the amount to be paid to each named
19 person for the period of time shown.

20 C. The number of persons authorized to make such approval shall
21 not exceed five people for any one state agency without the special
22 approval of the ~~Director~~ State Chief Operating Officer of the Office
23 of Management and Enterprise Services.

1 D. All agency approving officers shall execute a bond issued by
2 a surety company licensed to do business in this state, payable to
3 the state in the amount required by the ~~Director~~ State Chief
4 Operating Officer of the Office of Management and Enterprise
5 Services but not less than Fifty Thousand Dollars (\$50,000.00) and
6 conditioned for the faithful performance of their duties, as surety,
7 which shall be approved by the ~~Director~~ State Chief Operating
8 Officer of the Office of Management and Enterprise Services and
9 filed in the office of the Secretary of State.

10 E. After state claims and/or payrolls have been approved by the
11 above agency approving officers, they shall be filed with the
12 ~~Director~~ State Chief Operating Officer of the Office of Management
13 and Enterprise Services for auditing and settlement.

14 SECTION 46. AMENDATORY 62 O.S. 2021, Section 34.69, is
15 amended to read as follows:

16 Section 34.69. There is hereby created in the State Treasury a
17 Payroll Fund which shall be used by the ~~Director~~ State Chief
18 Operating Officer of the Office of Management and Enterprise
19 Services and the State Treasurer to issue a consolidated payroll for
20 each agency of the state. Payrolls of state agencies shall be
21 charged against the Payroll Fund created herein. Each state agency
22 shall prepare summary distributions of the amounts of payrolls to be
23 charged against each fund within the State Treasury and the ~~Director~~
24 State Chief Operating Officer shall transfer monies from each fund

1 in the State Treasury to the Payroll Fund amounts as shown on
2 payroll distribution summaries, and shall charge such amounts to the
3 account affected thereby.

4 B. As of July 1, 2010, the Office of Management and Enterprise
5 Services shall make available and each executive state agency shall
6 make available to all state employees a centralized web-based system
7 to access their personal employment and compensation-related
8 information. The provisions of this subsection as it pertains to
9 executive agencies may be waived by the ~~Director~~ State Chief
10 Operating Officer of the Office of Management and Enterprise
11 Services in the event that lack of timely access prevents employees
12 from utilizing the centralized system. As used in subsections B, C
13 and D of this section, "executive state agency" shall mean any state
14 agency, authority, board, commission or other entity organized
15 within the executive department of state government. Executive
16 state agency shall not mean any government entity organized or
17 created within the legislative or judicial departments of state
18 government.

19 C. Except for institutions within The Oklahoma State System for
20 Higher Education, executive state agencies converting to a multi-
21 monthly payroll system shall consult with the Office of Management
22 and Enterprise Services on the timing of the agency's conversion.

23 1. All state employees hired during the six (6) months prior to
24 an executive state agency's conversion to a multi-monthly payroll

1 shall be placed on either the biweekly payroll system or
2 supplemental payroll upon the date of hire.

3 2. In the six (6) months prior to an executive state agency's
4 conversion to multi-monthly payroll, the executive state agency
5 shall offer either multi-monthly or supplemental payroll to any
6 employee who chooses to participate. The provisions of this
7 paragraph shall not apply to employees placed on the multi-monthly
8 payroll pursuant to paragraph 1 of this subsection.

9 D. Six (6) months prior to an executive state agency converting
10 to the multi-monthly payroll system, it shall create employee
11 payroll conversion banks for the purpose of providing a one-time
12 payroll payment to an employee for the gap in payroll payments
13 created by the conversion to the multi-monthly system.

14 1. Each executive state agency shall allow its employees to
15 accumulate funds up to a maximum of eighty (80) hours for the
16 conversion bank from the following sources:

- 17 a. earned compensatory time, if the agency normally
18 provides its employees compensatory time,
- 19 b. earned annual leave,
- 20 c. earned sick leave up to a maximum of forty (40) hours,
21 and
- 22 d. shared leave as approved by the appointing authority.

23 2. During the six-month period leading up to an executive state
24 agency's conversion to the multi-monthly payroll system, all

1 executive state agencies shall inform, in writing or by electronic
2 means, all their employees of their leave and compensatory time
3 balances on a monthly basis.

4 E. The Office of Management and Enterprise Services shall
5 establish procedures concerning the conversion.

6 SECTION 47. AMENDATORY 62 O.S. 2021, Section 34.70, as
7 amended by Section 1, Chapter 167, O.S.L. 2023 (62 O.S. Supp. 2025,
8 Section 34.70), is amended to read as follows:

9 Section 34.70. A. 1. Upon the request of a state employee, a
10 state agency shall make voluntary payroll deductions for the
11 employee to any credit union, bank, or savings association having an
12 office in this state.

13 2. If the governing body of any county, municipality, or school
14 district provides for voluntary payroll deductions to a credit union
15 serving the employees of the county, municipality, or school
16 district, it shall provide voluntary payroll deductions to any
17 credit union, bank, or savings association having an office in this
18 state which has a minimum participation of twenty percent (20%) of
19 the employees of the county, municipality, or school district.

20 B. Upon the request of a state employee and pursuant to
21 procedures established by the ~~Director~~ State Chief Operating Officer
22 of the Office of Management and Enterprise Services, a state agency
23 shall make payroll deductions for:

1 1. The payment of any insurance premiums due a private
2 insurance organization with a minimum participation of five hundred
3 (500) state employees for life, accident, and health insurance which
4 is supplemental to that provided for by the state;

5 2. The payment of any insurance premiums, other than the
6 premiums due pursuant to paragraph 1 of this subsection, due a
7 private insurance organization or service company with a minimum
8 participation of five hundred (500) state employees for legal
9 services;

10 3. Premiums or payments for retirement plans with a minimum
11 participation of five hundred (500) state employees for retirement
12 plans which are supplemental to that provided for by the state;

13 4. Salary adjustment agreements included in a flexible benefits
14 plan as authorized by the State Employees Flexible Benefits Act;

15 5. Membership dues utilized for benefits, goods or services
16 provided by the Oklahoma Public Employees Association to the
17 organization's membership or any other statewide association limited
18 to state employee membership with a minimum membership of two
19 thousand (2,000) dues-paying members. For purposes of this
20 paragraph, state agencies shall accept online or electronically
21 submitted forms from the Oklahoma Public Employees Association and
22 other state employee associations. The Office of Management and
23 Enterprise Services shall develop and implement a verification
24 process for online or electronically submitted forms which may

1 include the use of electronic signature technology or other process
2 as determined appropriate. In addition, the Office of Management
3 and Enterprise Services shall provide an association representing
4 state employees with a reconciliation report once a month containing
5 information related to the name, warrant number and warrant date of
6 those employees that have opted into the association's membership;

7 6. Contributions to any foundation organized pursuant to 26
8 U.S.C., Section 501(c)(3) of the Oklahoma Public Employees
9 Association or any other statewide association limited to state
10 employee membership with a minimum membership of two thousand
11 (2,000) dues-paying members;

12 7. Payments to a college savings account administered under the
13 Oklahoma College Savings Plan Act pursuant to Section 3970.1 et seq.
14 of Title 70 of the Oklahoma Statutes;

15 8. Subscriptions to the Oklahoma Today magazine published by
16 the State of Oklahoma through the Oklahoma Tourism and Recreation
17 Department; and

18 9. The payment of any insurance premiums due a private
19 insurance organization, which is regulated by the State Insurance
20 Commission, for an Oklahoma Long-Term Care Partnership Program
21 approved policy pursuant to the Oklahoma Long-Term Care Partnership
22 Act.

23 C. The administrative costs of processing payroll deductions or
24 administering salary adjustment agreements for insurance premiums as

1 provided for in subsection B of this section shall be a charge of
2 two percent (2%) of the gross annual premiums for insurance plans.
3 The administrative costs of processing payroll deductions or
4 administering salary adjustment agreements for payments for
5 retirement plans as provided for in subsection B of this section
6 shall be one percent (1%) of the gross annual payments for
7 retirement plans. These charges shall be collected monthly from the
8 private insurance or retirement plan organization by the Office of
9 Management and Enterprise Services and shall be deposited to the
10 credit of the General Revenue Fund. Provided that these costs shall
11 not be collected from state employees or state agencies unless
12 otherwise directed in the Oklahoma State Finance Act.

13 D. Any statewide association granted a payroll deduction prior
14 to January 1, 2008, shall be exempt from the minimum state employee
15 membership requirement.

16 E. Approval of a payroll deduction or salary adjustment
17 agreement for any insurance organization, line of coverage or policy
18 shall not be construed as an assumption of liability, for the term
19 of policy or the performance of the insurance organization, by this
20 state, or any of its agencies or any officer or employee thereof.
21 Contracts for such insurance shall be in all respects subject to the
22 insurance laws of this state, and shall be enforceable solely
23 pursuant to such laws.

1 F. The Oklahoma Employment Security Commission is authorized to
2 deduct from the wages or salary of its employees the employees'
3 contribution to the Oklahoma Employment Security Commission
4 Retirement Plan.

5 G. Payroll deductions shall be made for premium payments for
6 group insurance for retired members or beneficiaries of any state-
7 supported retirement system upon proper authorization given by the
8 member or beneficiary to the board from which the member or
9 beneficiary is currently receiving retirement benefits.

10 H. Upon request of instructional personnel employed at either
11 the Oklahoma School for the Blind or the Oklahoma School for the
12 Deaf and pursuant to procedures established by the ~~Director~~ State
13 Chief Operating Officer of the Office of Management and Enterprise
14 Services, the Commission for Rehabilitation Services shall make
15 payroll deductions for membership dues in any statewide educational
16 employee organization or association.

17 I. Upon the request of a state employee of the Department of
18 Corrections, the Department shall make voluntary payroll deductions
19 for the employee to the Correctional Peace Officer Foundation.

20 SECTION 48. AMENDATORY 62 O.S. 2021, Section 34.71, is
21 amended to read as follows:

22 Section 34.71. The ~~Director~~ State Chief Operating Officer of
23 the Office of Management and Enterprise Services shall establish a
24 procedure to issue payment of a proper invoice for goods or services

1 within no more than forty-five (45) days from the date on which the
2 invoice was received in the office designated by the agency to which
3 the goods or services were sold and delivered.

4 SECTION 49. AMENDATORY 62 O.S. 2021, Section 34.72, is
5 amended to read as follows:

6 Section 34.72. The ~~Director~~ State Chief Operating Officer of
7 the Office of Management and Enterprise Services shall establish a
8 procedure to assess and pay interest for the late payment of an
9 invoice, which interest shall be calculated beginning the thirtieth
10 day after receipt by the designated office of a proper invoice for
11 which payment has not been mailed, transmitted, or delivered to a
12 vendor by the close of business on the forty-fifth day. Such
13 interest shall be at an annualized rate based on an average of the
14 interest rate for thirty-day time deposits of state funds during the
15 last calendar quarter of the last preceding fiscal year, as reported
16 by the State Treasurer.

17 SECTION 50. AMENDATORY 62 O.S. 2021, Section 34.74, is
18 amended to read as follows:

19 Section 34.74. Any vendor of goods or services purchased by or
20 delivered to an agency of the state whose payment is delayed beyond
21 the forty-five-day limit and who has not been compensated by payment
22 of interest as provided for in the Oklahoma State Finance Act may
23 file a grievance with the Office of the Governor, who shall transmit
24 it to the ~~Director~~ State Chief Operating Officer of the Office of

1 Management and Enterprise Services. Upon receipt of such grievance,
2 the ~~Director~~ State Chief Operating Officer shall pay the total
3 amount of such invoice with interest as required, within fifteen
4 (15) days, to remedy such grievance. If the ~~Director~~ State Chief
5 Operating Officer determines that the invoice or interest should not
6 be paid, such determination and the reasons therefor shall be
7 reported to the Governor and the aggrieved vendor.

8 SECTION 51. AMENDATORY 62 O.S. 2021, Section 34.75, is
9 amended to read as follows:

10 Section 34.75. A. The Department of Human Services may
11 establish an encumbrance and preaudit system for settlement of
12 claims relating to public assistance, social service benefits and
13 medical benefits to or for persons eligible under applicable federal
14 laws and rules, Oklahoma Statutes, and policies established by the
15 Oklahoma Commission for Human Services. The following programs
16 shall be eligible for this procedure:

- 17 1. Aid to Families with Dependent Children;
- 18 2. Aid to Aged, Blind and Disabled;
- 19 3. Medical Assistance;
- 20 4. Day Care;
- 21 5. Refugee Resettlement;
- 22 6. Low Income Heating and Energy Assistance;
- 23 7. General Assistance;
- 24 8. Crippled Children;

1 9. Social Services under Title XX of the U.S. Social Security
2 Act, 42 U.S.C., Section 301 et seq.;

3 10. Adoption Subsidies;

4 11. Foster Care;

5 12. Medical Examination;

6 13. Area Agencies on Aging;

7 14. Any contract for service for which the Office of Management
8 and Enterprise Services has approved as qualifying for a fixed and
9 uniform rate pursuant to Section 85.7 of Title 74 of the Oklahoma
10 Statutes;

11 15. Sheltered Workshops;

12 16. Contracted Group Homes;

13 17. Rehabilitative Client Interpreters;

14 18. Rehabilitative Client Drivers; and

15 19. Maternal and Child Health Services Block Grant.

16 B. Prior to inclusion in this procedure, the Department of
17 Human Services shall provide to the ~~Director~~ State Chief Operating
18 Officer of the Office of Management and Enterprise Services, for
19 approval, detailed listings of the type of payments to be made for
20 each of these programs specified in subsection A of this section.

21 C. The Department of Human Services shall provide the ~~Director~~
22 State Chief Operating Officer of the Office of Management and
23 Enterprise Services a daily report of the dollar amount of claims
24 settled and checks or warrants issued, the dollar amount of checks

1 or warrants canceled, and the dollar amount of checks or warrants
2 canceled by statutes.

3 D. The Department of Human Services and the ~~Director~~ State
4 Chief Operating Officer of the Office of Management and Enterprise
5 Services shall jointly establish a system for the settlement of
6 claims, except for payroll, by the Department of Human Services.
7 The settlement system shall include policy, procedures and
8 performance criteria for participation.

9 SECTION 52. AMENDATORY 62 O.S. 2021, Section 34.77, is
10 amended to read as follows:

11 Section 34.77. A. The State Department of Rehabilitation
12 Services is authorized to establish an encumbrance and preaudit
13 system for settlement of claims relating to social service benefits
14 and medical benefits to or for persons eligible under applicable
15 federal laws and regulations, Oklahoma Statutes, and policies
16 established by the Commission for Rehabilitation Services for the
17 following programs:

- 18 1. Vocational and other rehabilitation;
- 19 2. Educational services;
- 20 3. Disability Determination Services; and
- 21 4. Services for the Blind and Visually Impaired.

22 B. Prior to inclusion in this procedure, the State Department
23 of Rehabilitation Services shall provide to the ~~Director~~ State Chief
24 Operating Officer of the Office of Management and Enterprise

1 Services, for approval, detailed listings of the type of payments to
2 be made for each of these programs specified in subsection A of this
3 section.

4 C. The State Department of Rehabilitation Services shall
5 provide the ~~Director~~ State Chief Operating Officer of the Office of
6 Management and Enterprise Services a daily report of the dollar
7 amount of claims settled and checks or warrants issued, the dollar
8 amount of checks or warrants canceled, and the dollar amount of
9 checks or warrants canceled by statutes.

10 SECTION 53. AMENDATORY 62 O.S. 2021, Section 34.78, is
11 amended to read as follows:

12 Section 34.78. A. The Oklahoma State Regents for Higher
13 Education and the ~~Director~~ State Chief Operating Officer of the
14 Office of Management and Enterprise Services shall jointly establish
15 a system for the settlement of claims, except for payroll, by
16 institutions of The Oklahoma State System of Higher Education. The
17 settlement system shall include policy, procedures, and performance
18 criteria for participation. The State Regents may approve or
19 disapprove the participation of any institution or other entity of
20 the State System in the claims settlement system.

21 B. The Department of Education and the Oklahoma Department of
22 Career and Technology Education may establish a preaudit and
23 settlement system for claims and/or payments of state-funded
24 assistance to school districts and institutions within The Oklahoma

1 State System of Higher Education. The payment system shall be
2 neutral as to interest income to the state and the school districts.

3 SECTION 54. AMENDATORY 62 O.S. 2021, Section 34.80, is
4 amended to read as follows:

5 Section 34.80. A. All warrants, checks or orders issued by the
6 State Treasurer against claims submitted through the Office of
7 Management and Enterprise Services in payment of obligations of the
8 state which shall for any cause remain outstanding or unpaid for a
9 period of ninety (90) days after funds are available for their
10 payment shall be revoked and canceled.

11 B. Such warrants, checks or orders shall be entered into the
12 records of the Office of Management and Enterprise Services and the
13 State Treasurer and the administrative head of the agency certifying
14 the claim for payment shall be notified that such items have been
15 canceled.

16 C. If, for any reason, a warrant should not be issued to
17 replace a warrant canceled pursuant to the provisions of this
18 section, the administrative head of the agency originally certifying
19 the claim for payment shall, within seven (7) days after
20 notification of the cancellation, advise the ~~Director~~ State Chief
21 Operating Officer of the Office of Management and Enterprise
22 Services that a reissue should not be made.

23 D. Notwithstanding the provisions of subsection B of this
24 section, warrants issued or caused to be issued by the Department of

1 Human Services for public assistance or medical assistance may be
2 reissued at any time within three (3) years after cancellation upon
3 submission of the canceled warrants to the Department.

4 E. No canceled warrants shall be paid, except that the holder
5 of any warrant that may have been canceled pursuant to the
6 provisions of this section may, within thirty-six (36) months
7 following the month in which the warrant was canceled, present the
8 warrant or an affidavit of loss or destruction and a request for
9 reissuance to the ~~Director~~ State Chief Operating Officer of the
10 Office of Management and Enterprise Services.

11 F. The ~~Director~~ State Chief Operating Officer of the Office of
12 Management and Enterprise Services shall certify a claim as needed
13 for payment of those verified unpaid requests presented, unless the
14 certifying agency has advised that a reissuance should not be made.

15 G. 1. There is hereby created in the State Treasury a fund to
16 be known as the Canceled Warrant Fund.

17 2. The ~~Director~~ State Chief Operating Officer of the Office of
18 Management and Enterprise Services shall transfer to the Canceled
19 Warrant Fund the total of the payable amounts of the warrants
20 canceled pursuant to the provisions of this section from the funds
21 and accounts against which the canceled warrants had been drawn.

22 3. The Office of Management and Enterprise Services shall
23 disburse from the fund such amounts as necessary to pay warrants
24 reissued as provided in this section.

1 4. These expenditures shall remain recorded in the funds and
2 accounts against which the original canceled warrants were issued
3 and they shall not be considered expenses of the state nor shall
4 receipts to the fund be considered revenue to the state.

5 5. Any such claim drawn against the Canceled Warrant Fund shall
6 identify the current holder of record and the warrant number of the
7 canceled warrant, which shall be provided on the warrant record.

8 H. The ~~Director~~ State Chief Operating Officer of the Office of
9 Management and Enterprise Services shall determine the minimum
10 necessary balance to be maintained in the Canceled Warrant Fund and
11 on the third Monday of October shall transfer the amount in excess
12 of the required minimum balance to the General Revenue Fund of the
13 current year. The minimum balance retained shall be not less than
14 the total amount of the warrants canceled by statute within the past
15 thirty-six (36) months preceding October 1 of each year and which
16 remain eligible for replacement according to the records of the
17 Office of Management and Enterprise Services. Provided, funds in
18 the Canceled Warrant Fund due to the cancellation of warrants from
19 the Crime Victims Compensation Fund shall be transferred to the
20 Crime Victims Compensation Fund and not to the General Revenue Fund.

21 SECTION 55. AMENDATORY 62 O.S. 2021, Section 34.81, is
22 amended to read as follows:

23 Section 34.81. A. The State Treasurer is hereby authorized and
24 empowered to issue a replacement warrant or bond in lieu of any

1 warrant or bond that has been lost or destroyed; provided, that no
2 replacement warrant or bond shall be issued until an affidavit
3 setting forth the facts as to the loss or destruction of said
4 original warrant or bond has been filed with the ~~Director~~ State
5 Chief Operating Officer of the Office of Management and Enterprise
6 Services.

7 B. The ~~Director~~ State Chief Operating Officer and the State
8 Treasurer shall maintain appropriate records in their offices to
9 prevent, as nearly as reasonably possible, the state from mistakenly
10 issuing any replacement warrant or bond.

11 C. Such records shall include a stop payment order against the
12 original warrant to cancel the original warrant.

13 D. For such lost or destroyed miscellaneous warrants, the
14 ~~Director~~ State Chief Operating Officer of the Office of Management
15 and Enterprise Services shall cancel the original warrant record and
16 process a replacement warrant against the original disbursement
17 claim when possible, or otherwise shall transfer to the Canceled
18 Warrant Fund the payable amount of lost or destroyed warrants on
19 which payment has been stopped pursuant to the provisions of this
20 section from the fund and account against which said warrant had
21 been drawn and issue a replacement from the Canceled Warrant Fund.

22 E. For lost or destroyed payroll warrants, the ~~Director~~ State
23 Chief Operating Officer of the Office of Management and Enterprise
24 Services shall issue all payroll replacement warrants pursuant to

1 the provisions of this section from the Canceled Warrant Fund. The
2 ~~Director~~ State Chief Operating Officer shall allow the original
3 payroll warrant record to cancel by statute and shall transfer to
4 the Canceled Warrant Fund the payable amount to cover the lost or
5 destroyed warrants on which payment has been stopped pursuant to the
6 provisions of this section from the fund and account against which
7 the warrant had been drawn.

8 SECTION 56. AMENDATORY 62 O.S. 2021, Section 34.82, is
9 amended to read as follows:

10 Section 34.82. A. Disbursement information for all bonds and
11 interest coupons redeemed by the State Treasurer shall be delivered
12 to the ~~Director~~ State Chief Operating Officer of the Office of
13 Management and Enterprise Services for posting. Deposit information
14 for each and every receipt issued for monies received into the State
15 Treasury shall be receipted for by the Office of Management and
16 Enterprise Services.

17 B. Such information shall be maintained as a permanent record
18 in the Office of Management and Enterprise Services.

19 C. The Office of Management and Enterprise Services shall audit
20 such redeemed information and apportion and distribute the
21 collections as indicated by the State Treasury receipts.

22 D. All warrants and checks redeemed by the State Treasurer
23 shall be maintained by the State Treasurer in accordance with state
24 law.

1 SECTION 57. AMENDATORY 62 O.S. 2021, Section 34.83, is
2 amended to read as follows:

3 Section 34.83. A. If nonpayable warrants are issued pursuant
4 to the provisions of Section 23 of Article X of the Oklahoma
5 Constitution, the ~~Director~~ State Chief Operating Officer of the
6 Office of Management and Enterprise Services shall issue and publish
7 the official call for payment for any warrants that may be
8 outstanding and registered as "nonpayable".

9 B. Notice of such call shall be published in some newspaper of
10 general circulation, published at the seat of government, and
11 interest on all warrants so called for payment shall cease on or
12 after ten (10) days from the date of the first publication of such
13 notice.

14 C. The ~~Director~~ State Chief Operating Officer of the Office of
15 Management and Enterprise Services shall be responsible for the
16 custody of claims certified for payment which call for the
17 disbursement of money from the Treasury.

18 D. Such claims shall be maintained in files accessible to the
19 Division of Central Accounting and Reporting and the employees of
20 the Division of Central Accounting and Reporting shall have
21 authority to inspect such claims for the purpose of making
22 accounting adjustments in the records maintained by the Office of
23 Management and Enterprise Services.

24

1 SECTION 58. AMENDATORY 62 O.S. 2021, Section 34.87, as
2 amended by Section 1, Chapter 409, O.S.L. 2024 (62 O.S. Supp. 2025,
3 Section 34.87), is amended to read as follows:

4 Section 34.87. In order to ensure that the Oklahoma Higher
5 Learning Access Program will be fully funded and all eligible and
6 qualifying students receive scholarships, the following procedures
7 shall be observed:

8 1. Not later than November 1, 2007, and November 1 of each
9 subsequent year, the Oklahoma State Regents for Higher Education
10 shall estimate the amount of revenue they deem necessary to fund
11 awards allowed pursuant to the Oklahoma Higher Learning Access Act,
12 for the fiscal year which begins the following July 1 and provide
13 such estimate to the State Board of Equalization;

14 2. At its meeting in December 2007, and December of each
15 subsequent year, held pursuant to the provisions of paragraph 1 of
16 Section 23 of Article X of the Oklahoma Constitution, the State
17 Board of Equalization shall determine the total amount of revenue
18 necessary to fund awards allowed pursuant to the Oklahoma Higher
19 Learning Access Act for the fiscal year which begins the following
20 July 1 and reflect such amount as it certifies amounts available for
21 appropriation from the General Revenue Fund by the Legislature for
22 such fiscal year and identify the amount to be authorized pursuant
23 to paragraph 3 of this section; and
24

1 3. Notwithstanding any other provisions of law directing the
2 apportionment of revenues, beginning with the fiscal year ending
3 June 30, 2009, and for each subsequent fiscal year, the ~~Director of~~
4 ~~the Office of Management and Enterprise Services~~ State Chief
5 Financial Officer shall transfer on a periodic basis as needed the
6 amount of revenue to be deposited to the Oklahoma Higher Learning
7 Access Trust Fund, provided that the total amount of such transfers
8 in any fiscal year shall not exceed the amount authorized for
9 transfer by applicable budget legislation for such fiscal year.

10 SECTION 59. AMENDATORY 62 O.S. 2021, Section 34.90, is
11 amended to read as follows:

12 Section 34.90. There is hereby created in the State Treasury a
13 revolving fund for the State Department of Education to be
14 designated the "Common Education Technology Revolving Fund". The
15 fund shall be a continuing fund, not subject to fiscal year
16 limitations, and shall consist of monies received pursuant to the
17 provisions of subparagraph a of paragraph 2 and subparagraph a of
18 paragraph 3 of Section 1004 of Title 68 of the Oklahoma Statutes and
19 any funds previously deposited in the Common Education Technology
20 Fund. All monies accruing to the credit of the fund are hereby
21 appropriated and may be budgeted and expended by the State
22 Department of Education as authorized by the Oklahoma Legislature.
23 Expenditures from the fund shall be made upon warrants issued by the
24 State Treasurer against claims filed as prescribed by law with the

1 ~~Director~~ State Chief Operating Officer of the Office of Management
2 and Enterprise Services for approval and payment.

3 SECTION 60. AMENDATORY 62 O.S. 2021, Section 34.91, is
4 amended to read as follows:

5 Section 34.91. There is hereby created in the State Treasury a
6 revolving fund for the Oklahoma State Regents for Higher Education
7 to be designated the "Higher Education Capital Revolving Fund". The
8 fund shall be a continuing fund not subject to fiscal year
9 limitations, and shall consist of monies received pursuant to the
10 provisions of subparagraph b of paragraph 2 and subparagraph b of
11 paragraph 3 of Section 1004 of Title 68 of the Oklahoma Statutes and
12 any funds previously deposited in the Higher Education Capital Fund.
13 All monies accruing to the credit of the fund are hereby
14 appropriated and may be budgeted and expended by the Oklahoma State
15 Regents for Higher Education as authorized by the Oklahoma
16 Legislature. Expenditures from said fund shall be made upon
17 warrants issued by the State Treasurer against claims filed as
18 prescribed by law with the ~~Director~~ State Chief Operating Officer of
19 the Office of Management and Enterprise Services for approval and
20 payment.

21 SECTION 61. AMENDATORY 62 O.S. 2021, Section 34.92, is
22 amended to read as follows:

23 Section 34.92. A. There is hereby created in the State
24 Treasury a revolving fund for the Oklahoma State Regents for Higher

1 Education to be designated the "Oklahoma Student Aid Revolving
2 Fund". The fund shall be a continuing fund, not subject to fiscal
3 year limitations, and shall consist of monies received pursuant to
4 the provisions of subparagraph c of paragraph 2 and subparagraph c
5 of paragraph 3 of subsection A of Section 1004 of Title 68 of the
6 Oklahoma Statutes and any funds previously deposited in the Oklahoma
7 Tuition Scholarship Fund. All monies accruing to the credit of the
8 fund are hereby appropriated and may be budgeted and expended by the
9 Oklahoma State Regents for Higher Education as authorized by the
10 Oklahoma Legislature. Expenditures from said fund shall be made
11 upon warrants issued by the State Treasurer against claims filed as
12 prescribed by law with the ~~Director~~ State Chief Operating Officer of
13 the Office of Management and Enterprise Services for approval and
14 payment.

15 B. Beginning with fiscal year 2003, monies accruing to the
16 credit of the Oklahoma Student Aid Revolving Fund shall be
17 appropriated for and budgeted and expended for providing student aid
18 in the form of state tuition aid grants awarded pursuant to the
19 Higher Education Tuition Aid Act and scholarships awarded pursuant
20 to the Oklahoma State Regents' Academic Scholars Program.

21 SECTION 62. AMENDATORY 62 O.S. 2021, Section 34.102, is
22 amended to read as follows:

23 Section 34.102. A. There is hereby created in the State
24 Treasury a revolving fund to be known and designated as the "Revenue

1 Stabilization Fund". The fund shall be a continuing fund, not
2 subject to fiscal year limitations.

3 B. For determinations made regarding deposits for fiscal years
4 beginning on or after July 1, 2019, no monies shall be deposited to
5 the credit of the Revenue Stabilization Fund until such time as the
6 amount of actual revenue certified by the State Board of
7 Equalization as having been deposited into the General Revenue Fund
8 for the first fiscal year prior to the beginning of the fiscal year
9 that deposits to the Revenue Stabilization Fund are first made
10 equals or exceeds Six Billion Six Hundred Million Dollars
11 (\$6,600,000,000.00).

12 C. Once the provisions prescribed by subsection B of this
13 section have been met, deposits to the Revenue Stabilization Fund as
14 prescribed by this section may be made during any subsequent fiscal
15 year according to the requirements and limitations imposed by this
16 act; provided that no deposits shall be made during a fiscal year
17 where the State Board of Equalization General Revenue Fund
18 certification for said fiscal year is less than the State Board of
19 Equalization General Revenue Fund certification for the previous
20 fiscal year plus an increment equal to the amount otherwise
21 calculated for deposit pursuant to subsection E of this section.

22 D. Notwithstanding any other provisions of this section, unless
23 such deposits are the result of a direct appropriation to the
24

1 Revenue Stabilization Fund by the Legislature, no monies shall be
2 deposited to the credit of the Revenue Stabilization Fund:

3 1. For any month during a fiscal year after the month during
4 which the declaration of a revenue failure pursuant to the
5 provisions of Section 34.49 of this title has been made. For
6 purposes of this subsection, the limitation on deposits to the
7 Revenue Stabilization Fund shall be imposed for the remaining months
8 of the fiscal year during which the revenue failure was declared,
9 but shall not operate as a limitation upon deposits for any
10 subsequent fiscal year unless a revenue failure is declared at some
11 time during such fiscal year; or

12 2. That would cause deposits to the Revenue Stabilization Fund
13 for the fiscal year to exceed three percent (3%) of the State Board
14 of Equalization General Revenue Fund certification for that fiscal
15 year.

16 E. Except as provided in subsection I of this section, the
17 Revenue Stabilization Fund shall consist of:

18 1. One hundred percent (100%) of the revenue derived from the
19 gross production tax on oil levied pursuant to Section 1001 of Title
20 68 of the Oklahoma Statutes which is in excess of the five-year
21 average computed as prescribed by Section 34.103 of this title;

22 2. One hundred percent (100%) of the revenue derived from the
23 gross production tax on natural gas levied pursuant to Section 1001
24

1 of Title 68 of the Oklahoma Statutes which is in excess of the five-
2 year average computed as prescribed by Section 34.103 of this title;

3 3. Seventy-five percent (75%) of the revenue derived from
4 corporate income tax levied pursuant to Section 2355 of Title 68 of
5 the Oklahoma Statutes which is in excess of the five-year average
6 computed as prescribed by Section 34.103 of this title; and

7 4. Any amounts appropriated by the Legislature.

8 F. 1. Except as provided in paragraph 2 of this subsection, in
9 the event that a revenue failure is declared with respect to the
10 General Revenue Fund pursuant to Section 34.49 of this title, the
11 ~~Director of the Office of Management and Enterprise Services~~ State
12 Chief Financial Officer may withdraw up to one-quarter (1/4) of the
13 balance of the Revenue Stabilization Fund available at the beginning
14 of the fiscal year, provided the total amount withdrawn shall not
15 exceed the amount of the declared revenue failure, to in equal
16 proportions reduce or avoid reductions to agencies for the current
17 fiscal year and to mitigate potential reductions of funds to be
18 expended by common school districts which were appropriated or
19 authorized by the Legislature, but excluding any funds which are
20 apportioned directly to common school districts.

21 2. For the fiscal year ending June 30, 2020, in the event that
22 a revenue failure is declared with respect to the General Revenue
23 Fund pursuant to Section 34.49 of this title, the ~~Director of the~~
24 ~~Office of Management and Enterprise Services~~ State Chief Financial

1 Officer may withdraw amounts up to a total of one-half (1/2) of the
2 highest balance during the fiscal year ending June 30, 2020, of the
3 Revenue Stabilization Fund; provided, the total amount withdrawn
4 shall not exceed the amount of the declared revenue failure less any
5 appropriations made by the Legislature to offset such revenue
6 failure, to in equal proportions reduce or avoid reductions to
7 agencies for the fiscal year and to mitigate potential reductions of
8 funds to be expended by common school districts which were
9 appropriated or authorized by the Legislature for the fiscal year
10 ending June 30, 2020, but excluding any funds which are apportioned
11 directly to common school districts. No monies shall be withdrawn
12 under the provisions of this subsection for the purpose of reducing
13 or avoiding reductions of appropriations made pursuant to Section
14 129 of Enrolled House Bill No. 2765 of the 1st Session of the 57th
15 Oklahoma Legislature or Section 1 of Enrolled Senate Bill No. 1076
16 of the 1st Session of the 57th Oklahoma Legislature.

17 G. In the event that a revenue failure is declared with respect
18 to the General Revenue Fund pursuant to Section 34.49 of this title,
19 the Legislature may appropriate up to one-quarter (1/4) of the
20 balance of the Revenue Stabilization Fund available at the beginning
21 of the fiscal year, not to exceed the amount of the revenue failure
22 as declared with respect to the General Revenue Fund pursuant to
23 Section 34.49 of this title.

1 H. If the amount of revenue certified by the State Board of
2 Equalization at its February meeting in any year to be collected in
3 the General Revenue Fund for the upcoming fiscal year is less than
4 the amount of revenue certified by the State Board of Equalization
5 to be collected in the General Revenue Fund for the current fiscal
6 year as determined at its February meeting conducted in the
7 preceding calendar year, the Legislature may appropriate up to one-
8 half (1/2) of the balance of the Revenue Stabilization Fund
9 available at the beginning of the fiscal year; provided, that the
10 amount withdrawn shall not exceed the amount of the decline in
11 revenue certified.

12 I. If during the Board of Equalization certification process,
13 one or more of the revenue sources identified in paragraphs 1, 2 and
14 3 of subsection E of this section are forecasted to experience a
15 revenue decrease, then the total deposits to the Revenue
16 Stabilization Fund as otherwise calculated under subsection E of
17 this section shall be reduced in an amount equal to such revenue
18 decreases. For purposes of this subsection, "revenue decrease"
19 means an identified revenue source derived in an amount less than
20 the five-year average for such revenue source.

21 SECTION 63. AMENDATORY 62 O.S. 2021, Section 34.203, is
22 amended to read as follows:

23 Section 34.203. A. By July 1, 2020, the ~~Director~~ State Chief
24 Operating Officer of the Office of Management and Enterprise

1 Services shall initiate a request for proposal for the ongoing
2 maintenance of desktop support and management systems for all state
3 agencies. The Office of Management and Enterprise Services is
4 authorized to enter into a contract for such services, pursuant to
5 the provisions of law.

6 B. Notice of the request for proposal shall be published in the
7 manner provided for competitive bidding. The requests for proposal
8 must solicit quotations and must specify the importance of
9 guaranteed savings, price, quality, technical ability and
10 experience. The contract shall be awarded to the responsible
11 offeror whose proposal is determined to achieve guaranteed savings
12 to this state in comparison with the cost of current desktop support
13 and management as provided by the Information Services Division of
14 the Office of Management and Enterprise Services.

15 C. The ~~Director~~ State Chief Operating Officer of the Office of
16 Management and Enterprise Services shall promulgate rules and
17 establish procedures to implement the request for proposal pursuant
18 to this section.

19 SECTION 64. AMENDATORY 62 O.S. 2021, Section 34.204, is
20 amended to read as follows:

21 Section 34.204. A. By December 31, 2022, the ~~Director~~ State
22 Chief Operating Officer of the Office of Management and Enterprise
23 Services (OMES) shall initiate a request for proposal for the
24 rationalization and determination of which state applications and

1 databases can be immediately transferred to a cloud-based data
2 storage platform. The purpose of this request for proposal is to
3 give this state the ability to accurately evaluate the cost and
4 plans needed to implement modernization of the state's applications
5 and databases. These applications and databases shall be limited to
6 customer relationship management tools, case management tools,
7 workflow tools and supplemental financial systems. OMES is
8 authorized to enter into a contract for such services, pursuant to
9 the provisions of law.

10 B. Notice of the request for proposal shall be published in the
11 manner provided for competitive bidding. The contract shall be
12 awarded to the responsible offeror whose proposal is determined to
13 achieve the desired goal of rationalization of technology for the
14 state.

15 C. The ~~Director~~ State Chief Operating Officer shall promulgate
16 rules and establish procedures to implement the request for proposal
17 pursuant to the section.

18 SECTION 65. AMENDATORY 68 O.S. 2021, Section 102, is
19 amended to read as follows:

20 Section 102. The "Oklahoma Tax Commission" is hereby created,
21 and shall possess such duties, powers and authority as are
22 hereinafter defined, and as are now or as may hereafter be conferred
23 upon it by law. The Tax Commission shall consist of three (3)
24 persons to be appointed by the Governor of the State of Oklahoma by

1 and with the consent of the State Senate of the State of Oklahoma.
2 No more than two (2) members of the Tax Commission shall be, or
3 shall have been in the previous six (6) months, members of the same
4 political party. The members of the Tax Commission shall not be
5 subject to removal from office at the will and pleasure of the
6 Governor, but may be removed only for cause and in the manner
7 provided by law for the removal of state officials not subject to
8 impeachment under the provision of Section 1, Article VIII, of the
9 Constitution.

10 The members of the Oklahoma Tax Commission as now constituted
11 shall continue to serve until the members of the Tax Commission
12 created by this act are duly appointed, confirmed and qualified.
13 Within twenty (20) days after the effective date of this act, the
14 Governor shall appoint a new Tax Commission with the term of office
15 of one member to expire on the second Monday of January 1955, the
16 term of office of the second member to expire on the second Monday
17 of January 1957, and the term of office of the third member to
18 expire on the second Monday of January 1959. Except as set out
19 above the term of office of each member of said Commission shall be
20 for six (6) years with the term of office of one member of the Tax
21 Commission expiring on the second Monday of January of each
22 odd-numbered year. Provided, however, that a member of the
23 Commission shall continue to serve after the expiration of his term
24 of office until his successor is appointed, confirmed and qualified.

1 In the event of a vacancy in the membership of the Tax Commission
2 before the expiration of any term of office, the Governor shall fill
3 such vacancy for the unexpired term within twenty (20) days, and no
4 member of the Commission shall be entitled to draw any salary or
5 perform any service until his appointment is confirmed by the
6 Senate, if the Senate then be in session. If the Senate be not in
7 session, then such member may serve and draw his salary until some
8 special or regular session convenes; and if his appointment is then
9 not confirmed within twenty (20) days, he shall cease to perform
10 such services and cease to draw a salary.

11 Each member of the Tax Commission shall, at the time of his
12 appointment, be a resident and citizen of the State of Oklahoma, and
13 shall devote all of his time to the administration of the affairs of
14 the Tax Commission. The Governor shall at the time of making the
15 initial appointments, and also at the time of making each
16 appointment to fill a vacancy on the Commission as provided by this
17 act, designate one member to serve as Chairman, one member to serve
18 as Vice Chairman and one member to serve as Secretary.

19 The Oklahoma Tax Commission shall appoint an administrator who
20 shall serve at the pleasure of the Commission and who shall be the
21 administrative officer of the Commission and manage the activities
22 of the employees provided for in Sections 104 and 105 of this title.

23 The Oklahoma Tax Commission shall make provisions to house and
24 accommodate the efforts of the Office of the State Chief Financial

1 Officer, a division of the Oklahoma Tax Commission, and manage the
2 activities of the employees assigned to such Office.

3 SECTION 66. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 102A of Title 68, unless there
5 is created a duplication in numbering, reads as follows:

6 A. The Governor shall appoint, with the advice and consent of
7 the Senate, a State Chief Financial Officer of the State of
8 Oklahoma, who shall serve as the supervisor and administrator of the
9 Oklahoma Tax Commission-Office of the State Chief Financial Officer.

10 B. The State Chief Financial Officer shall have a four-year
11 degree in accounting, finance, public administration or a related
12 field, and not less than five (5) years experience, with progressive
13 responsibility and management, in a related position involving
14 administrative or financial responsibility, or any equivalent
15 combination of experience or training.

16 C. The State Chief Financial Officer shall be selected with
17 special reference to his or her training, experience, capacity and
18 interest in the activities embraced within the provisions of the
19 State Finance Act and other applicable provisions of law. The State
20 Chief Financial Officer's knowledge, experience, and demonstrated
21 abilities should encompass each of the following:

22 1. A comprehensive knowledge of the principles and practices of
23 public budgeting and governmental accounting, and a working
24 knowledge of statistical methods;

1 2. An extensive knowledge of the organization and operations of
2 state departments, agencies and institutions, and of statutes and
3 regulations governing state budgeting and accounting;

4 3. An extensive knowledge of principles of public organization
5 and administration;

6 4. Administrative ability in the direction of staff analyses of
7 state budgetary and other operations, and in the maintenance of
8 effective working relationships with all state officials concerned
9 with budget administration; and

10 5. The ability to organize and present clearly oral and written
11 reports of findings and recommendations.

12 D. The Governor may remove the State Chief Financial Officer
13 for good cause shown.

14 E. Any person appointed to the position of State Chief
15 Financial Officer pursuant to the provisions of this section shall
16 have full authority to take any actions authorized or required by
17 law pending the confirmation of the person by the Oklahoma State
18 Senate.

19 F. The Legislature may remove the State Chief Financial Officer
20 upon the vote of two-thirds (2/3) of the members elected to and
21 constituting each chamber. If a measure is used for the removal, it
22 shall be in the form of a concurrent resolution and shall not be
23 presented to the Governor.

SECTION 67. NEW LAW A new section of law not to be
codified in the Oklahoma Statutes reads as follows:

The amendments contained in this act which modify references to
the "Director of the Office of Management and Enterprise Services"
to the "State Chief Operating Officer" and "State Chief Financial
Officer" shall not be effective as law until the Governor makes the
first appointment of a State Chief Operating Officer pursuant to the
provisions of Section 6 of this act and a State Chief Financial
Officer is installed. Immediately upon such appointment, the
amendments made by this act to change references to the Chief
Operating Officer of the Office of Management and Enterprise
Services and the State Chief Financial Officer shall be fully
effective and operative as law. The provisions of this section
shall be effective whether or not the first appointee to the
position of State Chief Operating Officer receives confirmation by
the Oklahoma State Senate.

SECTION 68. This act shall become effective July 1, 2026.

SECTION 69. It being immediately necessary for the preservation
of the public peace, health or safety, an emergency is hereby
declared to exist, by reason whereof this act shall take effect and
be in full force from and after its passage and approval.

COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
03/09/2026 - DO PASS, As Amended.